LODGING ANALYTICS RESEARCH & CONSULTING

MARKET INTELLIGENCE REPORT



Anaheim, CA

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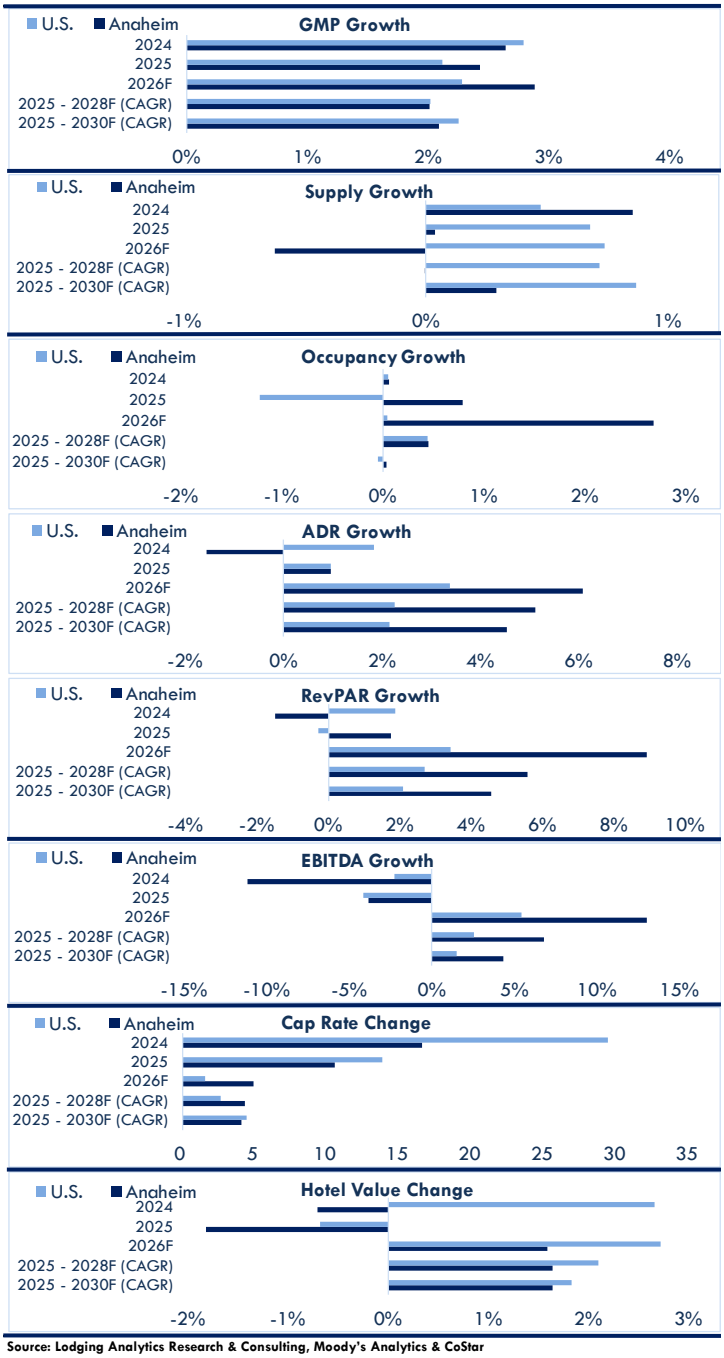
Market Intelligence Report

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Anaheim Summary

In 2026, a strong convention calendar (up 16% YoY) and the World Cup in nearby Los Angeles County will support demand growth and pricing power in Orange County, while occupancy growth is aided by recent supply declines. Thereafter, generally strong convention pacing and muted supply growth will support pricing power, despite lackluster economic growth, which will limit demand growth and modestly pressure occupancy. Over the next five years, RevPAR will increase at a 4.6% CAGR driven almost entirely by ADR growth, which will lead Hotel EBITDA to grow at a 4.3% CAGR over the same period, despite elevated expense growth. Fueled by Hotel EBITDA growth, asset values will increase 8% over the next five years (ranking 4th of LARC's 33 standard markets).

Anaheim Summary Forecast Charts & Commentary



Source: Lodging Analytics Research & Consulting, Moody's Analytics & CoStar

Anaheim's gross metropolitan product (GMP) will outperform the national average in 2026 but will slightly underperform thereafter. *Over the next five years, Anaheim's economic growth ranks 48th of LARC's 64 markets.*

Supply will decline in 2026 and remain generally muted for several years. *Anaheim's net supply growth ranks 60th among LARC's 64 markets through 2030.*

In 2026, a strong convention calendar and the World Cup in nearby Los Angeles County will support demand growth and pricing power. Thereafter, lackluster economic growth will limit demand, while generally strong convention pacing and muted supply growth will support pricing power, despite slightly declining occupancy. Nonetheless, by 2030, occupancy will be around 2025 levels, and RevPAR will have increased at a 4.6% CAGR, driven by an ADR CAGR of 4.5%.

Anaheim's occupancy outlook ranks 35th out of LARC's 64 markets over the next five years.
Anaheim's ADR outlook ranks 4th out of LARC's 64 markets over the next five years.
Anaheim's RevPAR outlook ranks 6th out of LARC's 64 markets over the next five years.

Despite elevated expense growth, strong ADR growth will drive Hotel EBITDA growth to meaningfully outperform national averages. By 2030, Hotel EBITDA will have increased at a 4.3% 5-year CAGR, *ranking 3rd out of LARC's 33 Standard markets over the next five years.*

We expect cap rates to expand by around 10 bps less than the national average over the next five years. *Anaheim's cap rate compression ranks 11th among LARC's 33 Standard markets over the next five years.*

Hotel values over the next 3-year and 5-year periods are each forecast to increase by a CAGR of 1.6%, lagging the national average and *ranking 4th among LARC's 33 Standard markets over the next five years.*

Anaheim Forecast Summary *(forecasts begin 2026)*

	Occupancy	% Chg	ADR	% Chg	RevPAR	% Chg	EBITDA Margin	Chg (bps, YoY)	EBITDA % Chg	Cap Rate	Cap Rate Chg (bps)	Value Change (from 2025 Base)
2019	77.4%	0.8%	$165.35	2.3%	$128.02	3.1%	30.1%	(39)	1.8%	7.7%	10	1%
2020	44.0%	-43.2%	$135.75	-17.9%	$59.71	-53.4%	9.4%	(2,068)	-85.4%	7.9%	16	-34%
2021	57.1%	29.8%	$169.58	24.9%	$96.80	62.1%	24.9%	1,550	329.7%	7.5%	(37)	-13%
2022	70.2%	23.0%	$202.30	19.3%	$142.06	46.7%	31.5%	663	85.8%	7.3%	(20)	-3%
2023	71.6%	2.0%	$211.10	4.4%	$151.19	6.4%	29.1%	(238)	-1.6%	7.4%	14	3%
2024	71.7%	0.1%	$207.81	-1.6%	$148.93	-1.5%	26.3%	(286)	-11.2%	7.6%	17	2%
2025	72.2%	0.8%	$209.80	1.0%	$151.55	1.8%	24.8%	(145)	-3.8%	7.7%	11	0%
2026 F	*74.2%*	*2.7%*	*$222.55*	*6.1%*	*$165.07*	*8.9%*	*25.8%*	*94*	*13.0%*	*7.8%*	*5*	*2%*
2027 F	*73.9%*	*-0.4%*	*$233.66*	*5.0%*	*$172.56*	*4.5%*	*25.8%*	*3*	*4.7%*	*7.7%*	*(2)*	*4%*
2028 F	*73.2%*	*-0.9%*	*$243.69*	*4.3%*	*$178.42*	*3.4%*	*25.7%*	*(11)*	*2.9%*	*7.8%*	*10*	*5%*
2029 F	*72.7%*	*-0.7%*	*$252.89*	*3.8%*	*$183.89*	*3.1%*	*25.1%*	*(58)*	*0.7%*	*7.9%*	*3*	*7%*
2030 F	*72.4%*	*-0.5%*	*$261.88*	*3.6%*	*$189.53*	*3.1%*	*24.5%*	*(58)*	*0.7%*	*7.9%*	*4*	*8%*

Source: Lodging Analytics Research & Consulting, CoStar, STR

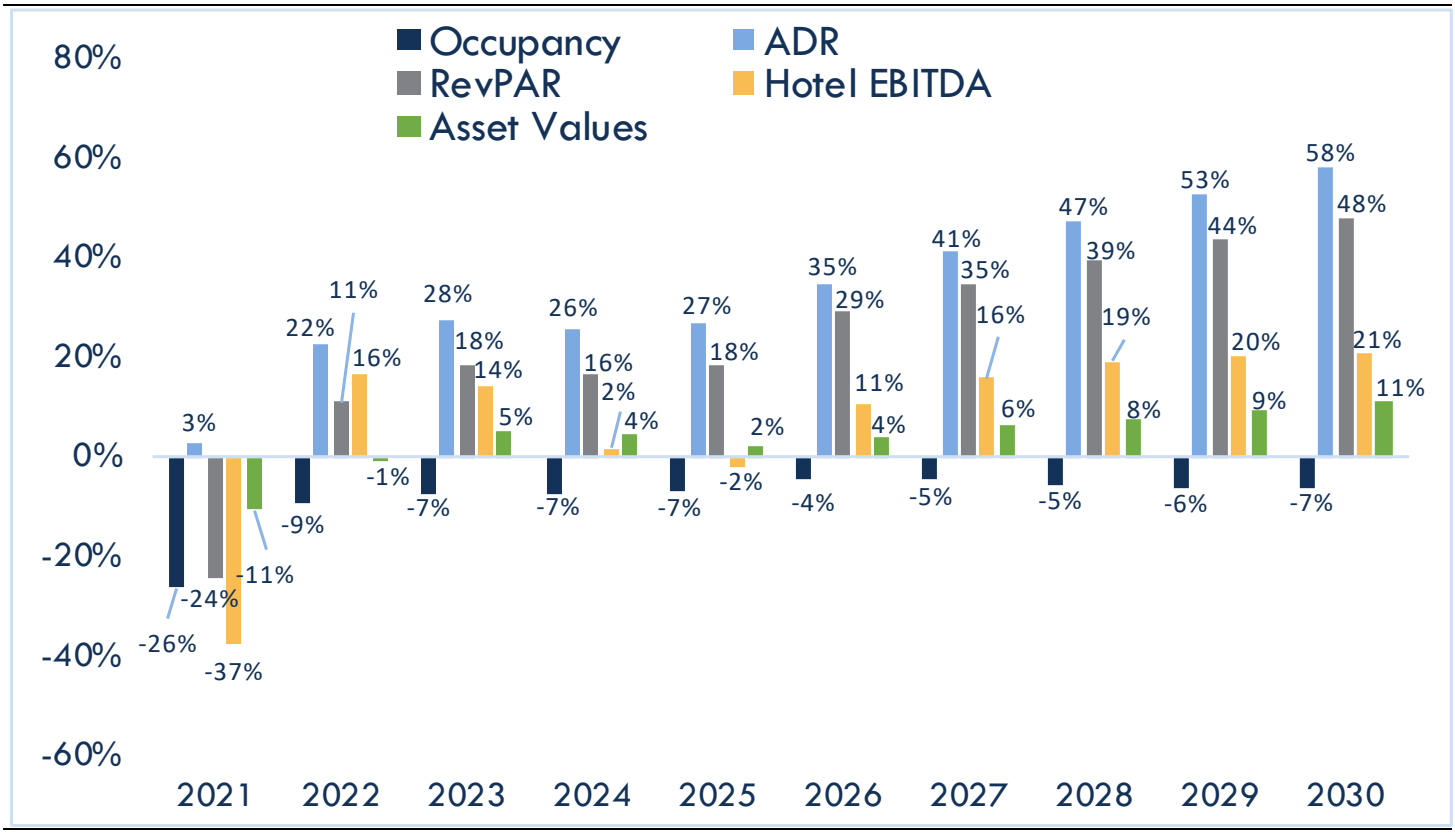
Anaheim Quarterly Operating Forecast Summary *(forecasts begin 2Q-2026)*

	Occupancy	% Chg	ADR	% Chg	RevPAR	% Chg	EBITDA Margin*	Chg (bps, YoY)	EBITDA % Chg
2022-1Q	62.0%	61.4%	$181.07	64.6%	$112.24	165.7%	24.5%	3,713	-614.1%
2022-2Q	73.1%	35.5%	$207.01	34.8%	$151.30	82.6%	33.7%	1,459	222.2%
2022-3Q	75.5%	12.4%	$220.13	11.9%	$166.15	25.7%	36.7%	161	31.5%
2022-4Q	70.2%	7.7%	$196.73	7.7%	$138.13	16.0%	28.6%	35	17.4%
2022	**70.2%**	**23.0%**	**$202.30**	**19.3%**	**$142.06**	**46.7%**	**31.5%**	**663**	**85.8%**
2023-1Q	67.3%	8.6%	$201.17	11.1%	$135.48	20.7%	26.1%	161	28.7%
2023-2Q	73.6%	0.8%	$209.59	1.2%	$154.34	2.0%	28.9%	(481)	-12.6%
2023-3Q	75.0%	-0.6%	$220.70	0.3%	$165.53	-0.4%	32.2%	(452)	-12.6%
2023-4Q	70.4%	0.3%	$211.64	7.6%	$148.99	7.9%	28.8%	14	8.4%
2023	**71.6%**	**2.0%**	**$211.10**	**4.4%**	**$151.19**	**6.4%**	**29.1%**	**(238)**	**-1.6%**
2024-1Q	67.3%	-0.1%	$203.92	1.4%	$137.20	1.3%	25.8%	(26)	0.3%
2024-2Q	71.9%	-2.4%	$203.53	-2.9%	$146.25	-5.2%	25.2%	(369)	-17.3%
2024-3Q	76.9%	2.5%	$217.68	-1.4%	$167.35	1.1%	29.6%	(254)	-6.9%
2024-4Q	70.5%	0.2%	$204.98	-3.1%	$144.60	-2.9%	23.9%	(482)	-19.2%
2024	**71.7%**	**0.1%**	**$207.81**	**-1.6%**	**$148.93**	**-1.5%**	**26.3%**	**(286)**	**-11.2%**
2025-1Q	69.3%	3.0%	$203.23	-0.3%	$140.82	2.6%	23.2%	(261)	-7.7%
2025-2Q	72.3%	0.6%	$202.40	-0.6%	$146.32	0.0%	22.3%	(291)	-11.5%
2025-3Q	75.2%	-2.1%	$220.04	1.1%	$165.57	-1.1%	28.1%	(155)	-6.2%
2025-4Q	72.1%	2.1%	$212.66	3.7%	$153.24	6.0%	25.2%	129	11.7%
2025	**72.2%**	**0.8%**	**$209.80**	**1.0%**	**$151.55**	**1.8%**	**24.8%**	**(145)**	**-3.8%**
2026-1Q	72.8%	5.0%	$213.95	5.3%	$155.72	10.6%	23.7%	50	13.0%
2026-2Q F	*74.6%*	*3.2%*	*$216.38*	*6.9%*	*$161.40*	*10.3%*	*24.0%*	*168*	*18.6%*
2026-3Q F	*76.6%*	*1.8%*	*$234.83*	*6.7%*	*$179.82*	*8.6%*	*29.5%*	*137*	*13.9%*
2026-4Q F	*72.7%*	*0.9%*	*$224.32*	*5.5%*	*$163.13*	*6.5%*	*25.4%*	*21*	*7.3%*
2026 F	***74.2%***	***2.7%***	***$222.55***	***6.1%***	***$165.07***	***8.9%***	***25.8%***	***94***	***13.0%***
2027-1Q F	*72.0%*	*-1.0%*	*$224.09*	*4.7%*	*$161.42*	*3.7%*	*23.3%*	*(42)*	*1.8%*
2027-2Q F	*72.3%*	*-3.0%*	*$227.30*	*5.1%*	*$164.38*	*1.8%*	*23.9%*	*(6)*	*1.6%*
2027-3Q F	*77.7%*	*1.5%*	*$246.67*	*5.0%*	*$191.78*	*6.6%*	*29.7%*	*21*	*7.4%*
2027-4Q F	*73.2%*	*0.7%*	*$235.22*	*4.9%*	*$172.29*	*5.6%*	*25.6%*	*18*	*6.4%*
2027 F	***73.9%***	***-0.4%***	***$233.66***	***5.0%***	***$172.56***	***4.5%***	***25.8%***	***3***	***4.7%***
2028-1Q F	*71.6%*	*-0.7%*	*$234.48*	*4.6%*	*$167.80*	*4.0%*	*23.3%*	*5*	*4.2%*
2028-2Q F	*71.5%*	*-1.1%*	*$237.26*	*4.4%*	*$169.74*	*3.3%*	*23.8%*	*(6)*	*3.0%*
2028-3Q F	*77.0%*	*-1.0%*	*$256.96*	*4.2%*	*$197.75*	*3.1%*	*29.5%*	*(16)*	*2.6%*
2028-4Q F	*72.7%*	*-0.7%*	*$244.71*	*4.0%*	*$178.00*	*3.3%*	*25.4%*	*(24)*	*2.3%*
2028 F	***73.2%***	***-0.9%***	***$243.69***	***4.3%***	***$178.42***	***3.4%***	***25.7%***	***(11)***	***2.9%***
2029-1Q F	*71.0%*	*-0.8%*	*$243.68*	*3.9%*	*$172.95*	*3.1%*	*23.0%*	*(40)*	*1.3%*
2029-2Q F	*71.0%*	*-0.7%*	*$246.34*	*3.8%*	*$174.93*	*3.1%*	*23.3%*	*(53)*	*0.8%*
2029-3Q F	*76.5%*	*-0.6%*	*$266.54*	*3.7%*	*$203.82*	*3.1%*	*28.9%*	*(62)*	*0.9%*
2029-4Q F	*72.3%*	*-0.6%*	*$253.63*	*3.6%*	*$183.47*	*3.1%*	*24.6%*	*(77)*	*-0.1%*
2029 F	***72.7%***	***-0.7%***	***$252.89***	***3.8%***	***$183.89***	***3.1%***	***25.1%***	***(58)***	***0.7%***
2030-1Q F	*70.6%*	*-0.5%*	*$252.44*	*3.6%*	*$178.29*	*3.1%*	*22.4%*	*(50)*	*0.8%*
2030-2Q F	*70.7%*	*-0.5%*	*$255.11*	*3.6%*	*$180.32*	*3.1%*	*22.7%*	*(56)*	*0.6%*
2030-3Q F	*76.1%*	*-0.5%*	*$275.96*	*3.5%*	*$210.05*	*3.1%*	*28.3%*	*(58)*	*1.0%*
2030-4Q F	*72.0%*	*-0.5%*	*$262.58*	*3.5%*	*$189.06*	*3.0%*	*24.0%*	*(66)*	*0.3%*
2030 F	***72.4%***	***-0.5%***	***$261.88***	***3.6%***	***$189.53***	***3.1%***	***24.5%***	***(58)***	***0.7%***

Source: Lodging Analytics Research & Consulting, CoStar

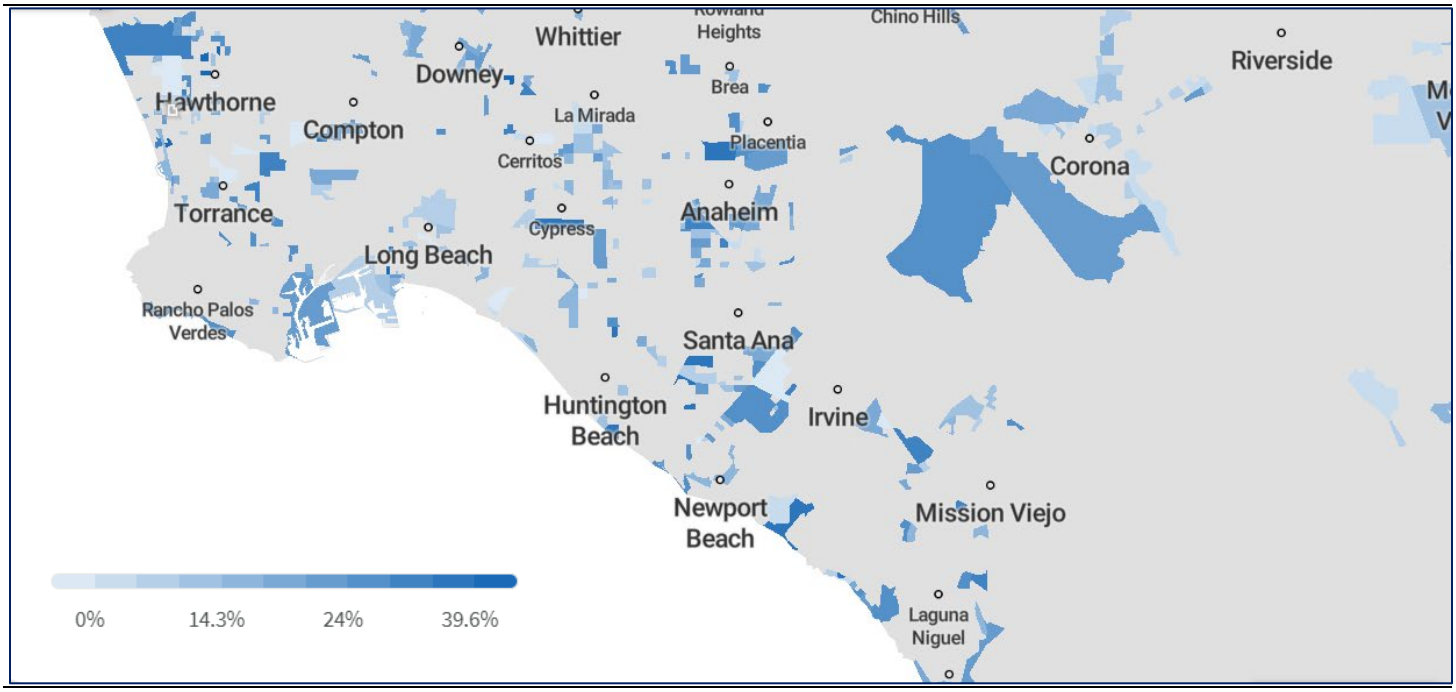
***Quarterly EBITDA Margins estimated based on quarterly revenue allocation and annual EBITDA margins**

Anaheim Annual Forecasts Relative to 2019



Source: Lodging Analytics Research & Consulting

Anaheim Market 5-Year Forecast RevPAR Growth Heat Map



Source: Lodging Analytics Research & Consulting

National Forecast Backdrop

Revenge Travel 2.0 or an Oscillating Operating Environment?

U.S. hotel performance in 1Q-2026 dramatically exceeded expectations, with RevPAR increasing 3.8%, driven by gains in both occupancy and ADR. This improvement was realized despite the war with Iran, a partial government shutdown, several mass layoffs, rising gas prices, inflation, and the impact from the Trump Administration's tariffs. While difficult to pinpoint the specific drivers of the outperformance, especially in March and more recently in April, they may be tied to the following factors:

- SALT tax relief benefits materializing early.
- Pent up leisure demand after limited summer leisure travel in 2025.
- The pull forward of leisure travel from summer 2026 due to expectations for rising gas prices and airfares due to the war with Iran.
- Corporate travel stability as companies appear to be less focused on the impact of uncertainty tied to the Trump Administration's policies and frequent shifts. Instead, the corporate world is fixated on the impact of AI across their businesses.

Overall, in 1Q-2026, Real GDP increased 2.0%, but it is being heavily impacted by the spending of the top tier of households. The stock market continues to hover around all-time highs, as does the Case Shiller home price index. These dynamics have boosted the top 20% of U.S. households' balance sheets, which now account for almost two-thirds of total U.S. consumer spending.

However, the remaining 80% of households are struggling. Financial stress is elevated for lower-income households, with delinquencies tied to student loans, first mortgages, auto loans, and credit cards at or around post-pandemic highs. This financial stress is at least partly tied to lower wage growth which is influenced by a weak job market. Those issues are expected to be compounded by record oil and gas prices that have yet to fully be reflected on consumer's balance sheets. Nonetheless, as of April, only 33% of the economists surveyed by the Wall Street Journal anticipate the U.S. to enter recession over the next twelve months.

Additionally, business spending is skewing toward investment in artificial intelligence (AI). Excluding projections for AI investment, business investment is expected to be roughly flat in 2026 and 2027.

With that backdrop, our outlook for hotel performance is driven by a combination of tailwinds and headwinds:

Tailwinds

- Comparisons begin to ease in 2Q-2026.
- The World Cup should have a material impact to annual RevPAR growth across the U.S. with the impact skewed toward host cities.
- SALT tax relief is hitting the consumer balance sheet, which should result in an added capacity for spending.
- The high-end leisure traveler will continue to be strong, supported by a robust stock market, increasing wealth levels, and an increased propensity to travel domestically considering the Iran war.
- Group demand will continue to be strong, with convention bookings pacing up 4% year-over-year in 2026 and another 1% in 2027.

Headwinds

- The War with Iran has caused a spike in oil prices which has translated into increased gas prices and airfares, driving travel costs much higher.
- Muted job growth and traditional business investment will limit leisure travel demand from most Americans as well as business travel demand.
- Sentiment toward the U.S. is increasingly negative and without a shift in rhetoric, could limit the benefit of the World Cup. Through March, on a TTM basis, inbound international arrivals declined 4%.

Additionally, Moody's Analytics economic forecasts incorporate the following key national assumptions that drive our outlook:

- The Fed will keep rates unchanged until December 2026, when the Fed Funds Rate is cut by 25 bps.
- U.S. GDP will increase 1.6% in the second quarter, 2.3% in 2026 and 1.7% in 2027.

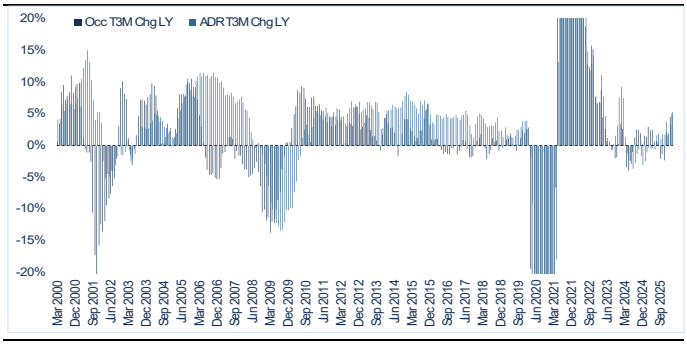
With that backdrop, we forecast 2026 RevPAR to increase 3.4%, driven entirely by a 3.4% ADR increase.

Operating Results Review

In 2025, ADR growth turned positive in the back half of the year, given soft convention comparisons. By year-end 2025, Anaheim RevPAR increased 1.8%, driven by a 1.0% increase in ADR, and a 0.8% increase in occupancy.

As the calendar turned to 2026, Anaheim RevPAR exhibited increases of roughly 13% in both February and March, given strong leisure and group demand. Overall, in 1Q-2026, Anaheim RevPAR increased 10.6%, driven by a 5.3% ADR increase and a 5.0% occupancy increase.

Historical Occupancy, ADR and RevPAR Growth



Source: Lodging Analytics Research & Consulting, CoStar

MSA Economic Summary

Tourism and entertainment play a central role in Anaheim's economy, drawing around 26 million visitors to the city each year. In 2024, visitors spent a substantial $16.3 billion across Orange County. Anaheim is home to the Disneyland Resort, a prominent tourist destination in California. Despite the dominance of tourism, the local economy is diversified with other key industries including financial services, education, and life sciences. According to Moody's, these non-tourism sectors collectively contribute nearly 20% to the GDP of Orange County.

The growth in transportation infrastructure adds to the area's economic diversity, with John Wayne Airport catering to over 11.3 million passengers each year. Given its proximity to the Port of Los Angeles and the Port of Long Beach, the region benefits from enhanced convenience and connectivity, further contributing to its economic vitality.

On January 1, 2025, California's statewide minimum wage rose to $16.50. This figure is set to increase to $17 an hour for small employers, and $18 an hour for large employers in 2025. Further, the city's resort-area living-wage ordinance set higher minimum pay standards for large hotels and theme park employers. After legal challenges from Disney were ultimately rejected by the courts, covered Disney workers saw wages rise to $19.90 in 2024 and $20.42 in 2025, reflecting scheduled increases tied to the ordinance and its inflation adjustments for resort-industry employees.

Of note, a series of ICE raids across Orange County in early June 2025 significantly disrupted local industries such as tourism, hospitality, and construction. As a result, foot traffic dwindled, student enrollment declined, and small business activity, such as that at Santa Ana's 4th Street Market, slowed noticeably. While these issues are not expected to be long-term in nature, they could have a meaningful impact on the near-term economic vitality across Orange County.

Tourism – In 2024, Anaheim welcomed a record 26.3 million visitors, who spent a combined $6.6 billion, marking a 2.3% increase in visitor spending from the previous year. The city is aiming for 30 million visitors in the coming years. The Walt Disney Company is the largest employer in the area, employing roughly 360,000 people, which accounts for 20 percent of the city's total employment. However, in February 2023, the company announced cost-cutting measures and a global workforce reduction of 7%. After plans to move to Orlando were cancelled, Disney leadership met with Anaheim city leaders to talk about their DisneylandForward Project, a $1.9 billion expansion of the Disneyland Resort over the next ten years. While the plan has been in progress since 2021, it has gained momentum recently with the City granting final approvals in May 2024. This expansion is expected to bring more than 4,000 construction jobs to the Disneyland Resort over the four-year construction period, as well as an additional 2,300 operational jobs annually. The project is discussed in further detail in the major local real estate developments section of this report. More recently, Anaheim's City Council rejected a proposed "gate tax" that would have added a 3% levy on Disneyland tickets and a 10% tax on large parking lots, which together could have generated hundreds of millions annually for the city's general fund. Of note, The Walt Disney Company announced layoffs affecting roughly 1,000 employees in April 2026 as part of ongoing restructuring efforts. While the cuts were largely outside Anaheim and did not significantly impact Disneyland Resort operations, the announcement reflects broader uncertainty within the entertainment sector that could indirectly affect Anaheim's tourism-driven economy.

The upcoming 2028 Summer Olympics, with events in cycling and volleyball, are a major reason for many major expansions and developments in Anaheim and are expected to further boost international visitation. Strategic global connectivity improvements will support broader efforts aimed to grow tourism to Anaheim from the Middle East and Asia.

The Los Angeles Angels Major League Baseball team plays in Angel Stadium in Anaheim, and the Anaheim Ducks National Hockey League team plays in the Honda Center, which also operates as a major concert and entertainment center. Sales and transient occupancy taxes collected from visitors to these local attractions provide a key source of economic support for the city.

Financial Services – Hyundai Capital America and Opus Bank have their headquarters in Irvine, while Pacific Life Insurance and PIMCO are headquartered in nearby Newport Beach. Furthermore, the fintech company Happy Money is headquartered in Tustin. The area continues to attract financial services and fintech companies due to its business-friendly environment and access to a highly educated workforce.

Education and Life Sciences – The economic growth in the region is closely tied to an educated workforce. The presence of institutions like the University of California, Irvine (UCI), California State University, Fullerton, and Chapman University with more than 30 accredited colleges and universities contributes to this educated workforce. UCI is one of the largest employers in the area with over 28,000 employees.

Biotech – Edwards Lifesciences is headquartered in Irvine, with 5,000 employees, while Allergan, Medtronic, and Abbott Laboratories have a significant presence in and around Irvine. Additionally, MD&M West Celebrated 40 years as one of the most influential and advanced manufacturing trade shows in the world in February 2025. With Medtech being one of their biggest show sectors, the influx of exhibitors and attendees creates a boost in hospitality, tourism, and local employment opportunities. Additionally, the exposure to advanced medical technologies fosters innovation and potential investments, contributing to the region's standing as a hub for the MedTech industry; partnerships and collaborations formed at the show could lead to long-term economic benefits. The event also attracts high-profile decision-makers, which can influence future trends and investments in the broader healthcare and technology sectors within Anaheim.

With that backdrop, Anaheim is expected to outperform other western U.S. cities thanks to its world-class universities, highly educated workforce, and dynamic drivers.

Despite the strength of these sectors, the market still has a high concentration of jobs in the service industry. In total, the leisure and hospitality and retail trade sectors make up roughly 23% of the total labor force. According to Moody's Analytics, the unemployment rate will remain near 4.0% in the near term, before returning to near 3% around 2030.

Moving forward, Anaheim GMP is forecast to increase by 2.9% in 2026, following 2.4% growth in 2025. From 2025 to 2030, Anaheim GMP is forecast to grow at a 2.1% CAGR, just under the national growth of 2.3%. Over the same period, non-farm jobs are expected to increase at a 0.3% CAGR, and office employment is expected to grow at a 0.2% CAGR, which translates to an unemployment rate falling from 4.2% at year-end 2025 to 3.6% at the end of 2030.

Key Economic Highlights Include:

- Local GMP is forecast to increase at a 2.1% CAGR through 2030, ranking 48th of LARC's 64 markets.
- The fastest growing sector since the pandemic concluded has been Education and Health Services, which accounts for 7.6% of the broader local economy.
- Almost half of Anaheim's economic activity is in the financial activity and the professional and business services sectors.

Major Local Real Estate Developments:

Disneyland Expansion (DisneylandForward) – In March 2024, The Anaheim Planning Commission approved Disney's $1.9 billion, ten-year project that is said to include an Immersive Theme Park Westside Expansion, which involves the construction of a new theme park on the existing Lilo & Stitch/Downtown Disney parking lots. The plan also calls for a Disney Entertainment Destination Eastside Expansion, which would combine theme parks, hotels, retail, dining, and entertainment in the Toy Story parking lot, located near the Convention Center. Sixteen more rides and an expansion to the monorail are also possible. Anaheim City Council approved the plans in May 2024.

Additional aspects include:

- Various projects based on films such as Avatar, Frozen, Zootopia, and Coco;
- Demolition of the Monsters, Inc. Mike & Sulley to the Rescue;
- A 6,000-space parking structure with rideshare pickup zones and shuttles at 1585 S. Manchester Avenue.

Permits for the eight-story parking garage were filed in October 2025 and the structure is expected to begin construction in 2026. Further, demolition permits for the Monsters, Inc. attraction were filed in April 2026; however, it is not yet clear what will be built on the site once demolition is complete.

A study has estimated that Disneyland Forward could generate over $250 million in annual economic output and $15 million in tax revenues for Anaheim. Further, Disneyland has used less than half of the millions of square feet approved in the resort district, suggesting that there is plenty of space for future expansion. In November 2024, Disney submitted plans for preparation work, focused on utilities, temporary trailers, parking lots, and backstage areas behind the Avengers Campus. Site preparation began in December 2024, followed by construction on the larger expansion project in January 2025, which will add two new attractions and effectively double the size of the existing campus. While a detailed construction timeline has not yet been made public, expectations are that the project will open to guests at some point in 2027.

In September 2025, the City of Anaheim began studying new mass transit options to connect the Disneyland Resort with the Anaheim Regional Transportation Intermodal Center. One option could include a gondola system. Construction of the new system could cost upwards of $11 million per mile and would require clearing the right-of-way. Other options include a trackless streetcar system or autonomous vehicles. The goal is to have some new systems in place in time for the 2028 Summer Olympics.

OCVIBE – In October 2022, plans for a 100-acre mixed-use district were approved in Orange County. The $5 billion development has undergone several amendments to the original plan given shifting demand; however, the current plan proposes the following:

- One million square feet of novel office space
- Over 2,500 residential units, 15% of which would be dedicated to low-income housing
- Two hotels for a total of 550 rooms
- Over 835,500 square feet of entertainment space, including the 650,000 GSF existing Honda Center (18,300+ seats) as well as over 185,500 square feet of new entertainment space (8,400+ seats)
- Nearly 57,000 square feet of new retail space in addition to the existing 25,000 square feet at ARTIC Retail.
- Nearly 172,000 square feet of restaurant and outdoor dining space, including two new culinary concepts by chef and restaurateur Debbie Lee.
- Parking for nearly 13,000 vehicles
- 20-acres of parks and public plazas and three miles of connected walking trails

In August 2023, the DOT provided $5 million in funding for the design of two bridges associated with the OC River Walk section of the project, which entails 1.7 miles of parks, trails, bridges, and open spaces for waterfront recreation. The OC River Walk aspect could cost over $100 million and take a few years to complete. Vertical construction is now complete on the project's first two commercial buildings – a six-story, 168,000 square foot office building known as The Weave and a three level, 104,000 square foot concert hall. Phase One is expected to reach completion in 2027 and include a 50,000 square foot two story market hall known as Katella Commons, a public plaza, the first concert venue, and the Weave. Overall completion of the project's final phase is expected by 2033.

New Streetcar System (OC Streetcar) – Construction is progressing on a 4.15-mile Orange County Streetcar system; however, the development is already projected to exceed the budgeted amount by nearly double. The first of eight streetcars, which are estimated to have capacity for up to 180 passengers, was delivered in Santa Ana in May 2025. Service is slated to begin in 2026. Upon opening, the streetcar is expected to run every 10 to 15 minutes, making 10 stops between Santa Ana and Garden Grove. Future extensions could include routes to Hollywood, the Burbank Airport, and Anaheim's tourist district, but details regarding future phases remain speculative at this time.

California High Speed Rail – The California High-Speed Rail (CHSR) is a publicly funded high-speed rail system currently under construction. It is projected to connect the Anaheim Regional Transportation Intermodal Center and Union Station in Downtown Los Angeles with the Salesforce

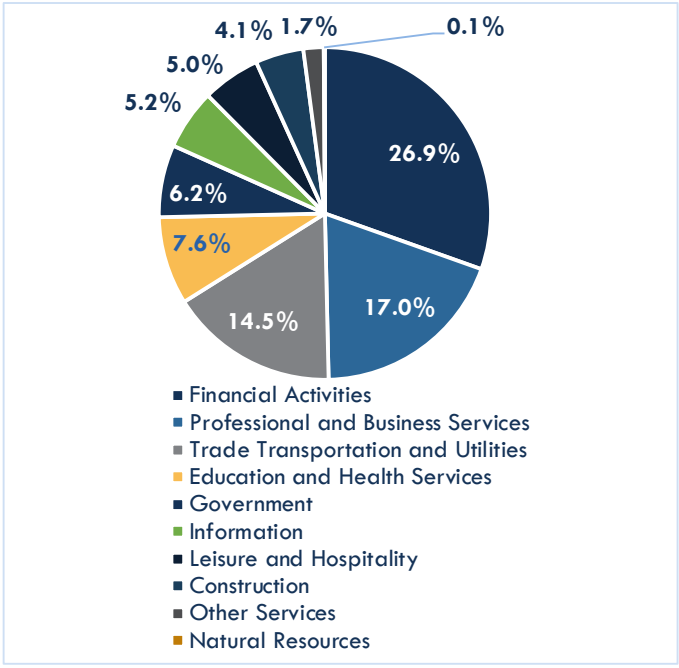
Transit Center in San Francisco via the Central Valley. Upon completion, the rail system would provide a one-seat 380-mile ride between Union Station and San Francisco in 2 hours and 40 minutes, with speeds as high as 220 miles per hour. The opening date is scheduled for 2033. So far, 463 miles out of 494 have been environmentally cleared for the Los Angeles/Anaheim to Bay Area route and work has begun on extending the 119 miles under construction to 171 miles from Merced to Bakersfield, aka the "Initial Operating Segment". Routes to Sacramento, Inland Empire, and San Diego could come next, but the biggest factor for the project is cost and time. The cost for the San Francisco/Los Angeles route continues to rise, most recently coming in around $105 billion, more than triple the initial $33 billion estimate. This creates a funding gap of nearly $75 billion, putting the future of the project in question. Further, the Trump Administration is targeting the project, with federal transportation officials announcing an official rescission of $4 billion in federal funding for the project in July 2025, followed by an additional withdraw of $175 million for grade separation and design work in August 2025. However, in September 2025, the California High Speed Rail Authority confirmed an agreement for an annual allocation of $1 billion to the project through 2045.

Largest Employers (City of Anaheim)

Company	# of Employees Locally
Disneyland Resort	36,000
Kaiser Permanente Anaheim Medical Center	4,500
OC Sports & Entertainment	2,000
Northgate Market	1,000
Hilton Anaheim	900
Anaheim Regional Medical Center	885
L-3 Harris Technologies	850
West Anaheim Medical Center	740
Angels Baseball LP	700
Anaheim Marriott	550

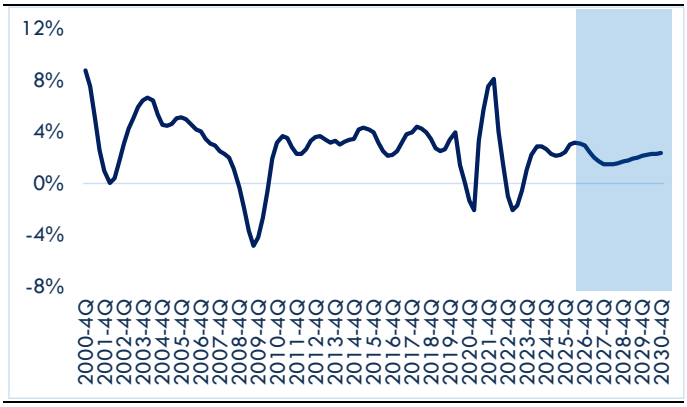
Source: City of Anaheim ACFR

Top Industries (by GMP contribution)



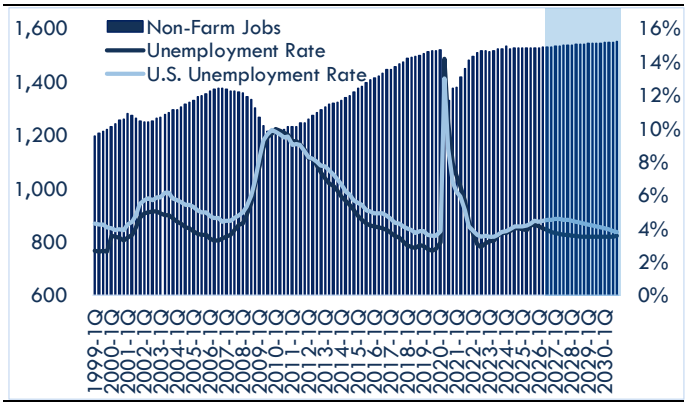
Source: Moody's Analytics

GMP Growth (Annualized, T4Q average)



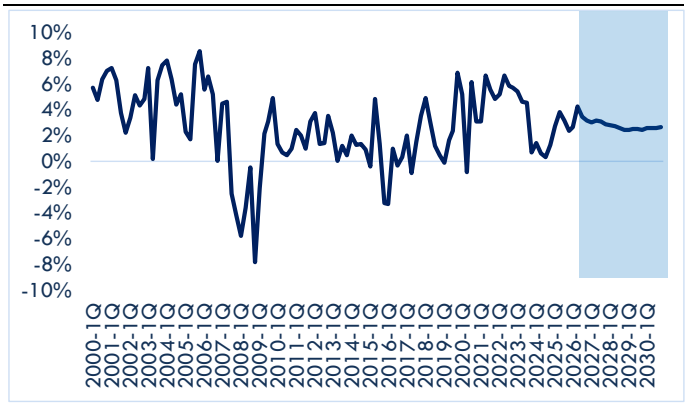
Source: Moody's Analytics

Employment Picture, Seasonally Adjusted



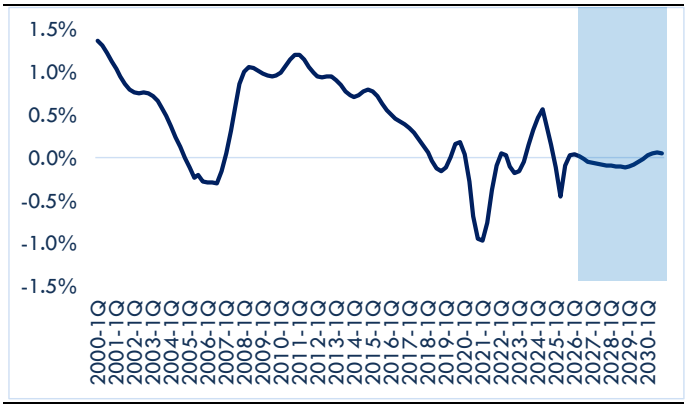
Source: Moody's Analytics

Consumer Price Index, Annualized



Source: Moody's Analytics

Population Growth, Annualized



Source: Moody's Analytics

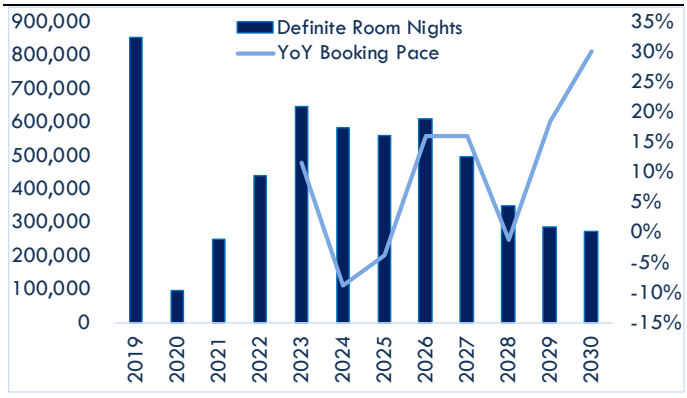
Lodging Demand Drivers

Convention Center

The Anaheim Convention Center, totaling 1.8 million square feet, features 1.15 million square feet of exhibit space and 352,000 square feet of meeting space, making it one of the largest convention centers on the West Coast. Given the size of the facility, it can have a meaningful impact on local hotel operating performance.

Moving forward, the recovery in convention trends will be a primary driver of the lodging industry. In 2025, Anaheim's definite room nights tied to the convention center were down (4)%, representing slight improvement following the (9)% year-over-year decline in 2024. However, the booking pace is relatively strong moving forward, up 16% in both 2026 and 2027, before dropping slightly in 2028 and ultimately increasing 18% in 2029, and 30% in 2030.

Convention Center Bookings *(as of 2Q-2026)*



Source: Lodging Analytics Research & Consulting

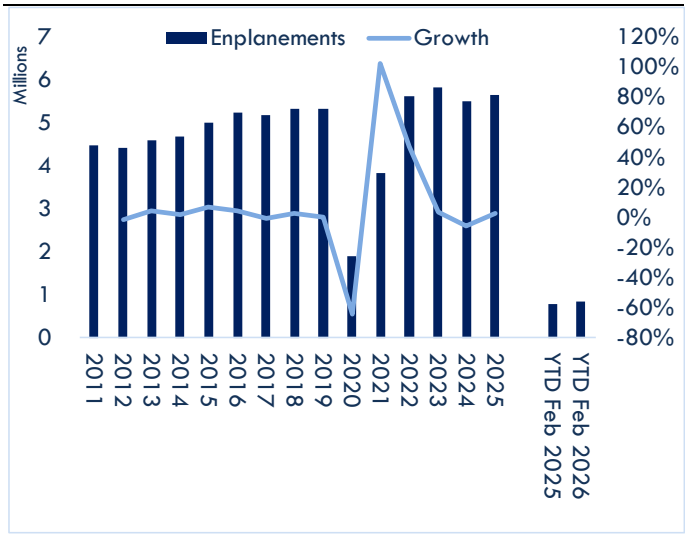
The Anaheim Convention Center completed a $190 million expansion in 2017 that added over 200,000 square feet to the facility. There are currently no additional expansion plans; however, the 618-room Westin Anaheim Resort opened near the convention center in June 2021, offering an additional 48,000 square feet of meeting space.

Air Traffic

While growth levels have fluctuated from year to year, John Wayne Orange County Airport experienced an average annual passenger volume growth rate of 2% from 2017 through 2019 before volumes were down (64)% in 2020 due to the pandemic. Passenger volumes quickly rebounded, surpassing 2019 levels in 2022. Growth began to slow in 2023, with passenger levels increasing only 4% before declining by (6)% in 2024, However, by year-end 2025, passenger volumes

increased another 3%. Through February 2026, year-to-date passenger volumes were up 4% from the year prior.

Annual Enplanement Volumes



Source: John Wayne Airport

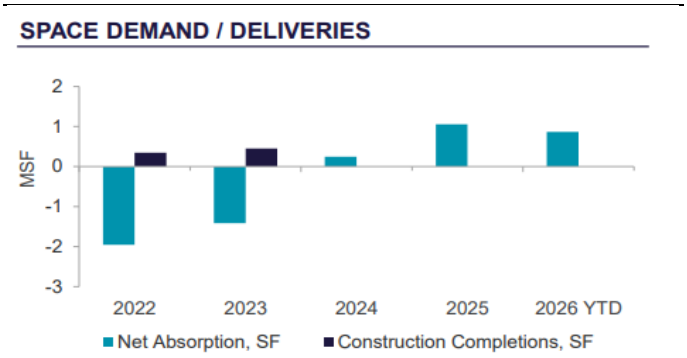
The John Wayne County Airport is amid a $100 million, two-phase General Aviation Improvement Program aimed at creating a 14-acre facility for private aircraft ranging from corporate jets to two-seater planes. Ground was broken in late 2024 and this program marks the biggest private investment in the history of the airport. The first phase will include hangars and a terminal, scheduled for completion in 3Q-2026. A $700 million airport upgrade is also in the works and should be completed by 2031; however, it will not expand capacity, instead focusing on general updates such as baggage, escalator/elevator, and restroom upgrades.

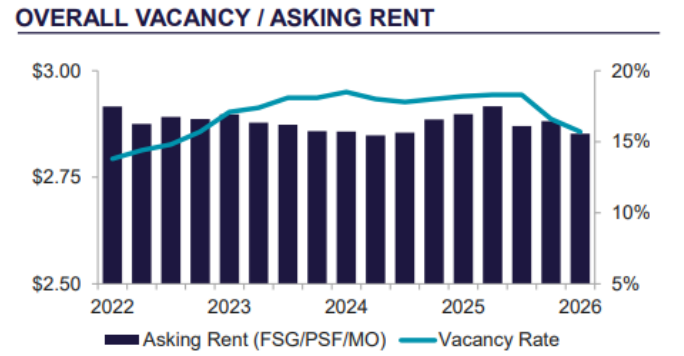
Office Market

Over the ten years leading up to the pandemic, Anaheim's office-using employment grew at a 2.7% CAGR vs. the national CAGR of 1.7%. In 2025, office employment declined by (1.1)%, and it is forecast to decline by (1.0)% in 2026 but maintain a 0.1% three-year growth CAGR and a forward five-year growth CAGR of 0.2%.

In 1Q-2026, the Orange County office market's vacancy rate fell to 15.7%, representing a 90-bp decline compared to 4Q-2025 and a 250-bp decline year-over-year. Quarterly net absorption was positive for nearly 865,000 square feet given large tenant move-ins such as O5 Group for roughly 41,000 square feet and Yardi Systems for roughly 33,000 square feet in the Irvine submarket. Sublease vacancy fell to 2.2 million square feet, representing an (11.1)% decline from 4Q-2025. New leasing activity remained around 1.8 million square feet, above the five-year quarterly average of 1.6 million square feet. OCVIBE remains under construction in the quarter and will deliver a 168,000 square foot Class A office space in the Stadium Area submarket. Additionally, Advantech plans to develop a 109,000 square foot Class A office space in the Tustin market to serve as the company's North American Headquarters. Both projects are slated for delivery in 2026. There is no other space currently under construction, as planned projects are largely on hold as developers remain wary of shifting demand trends.

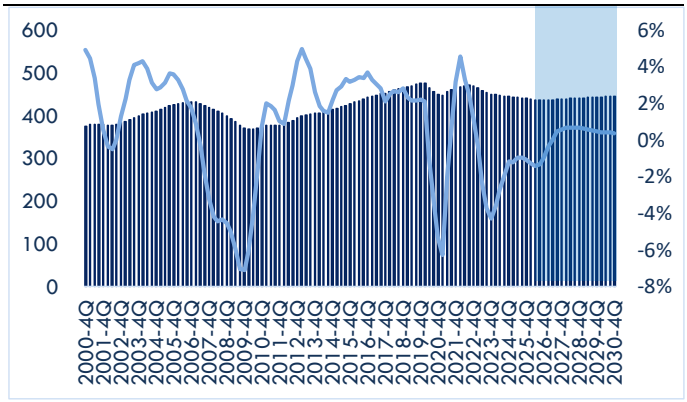
Orange County Office Market Statistics





Source: Cushman & Wakefield

Trailing Four Quarter Office Employment



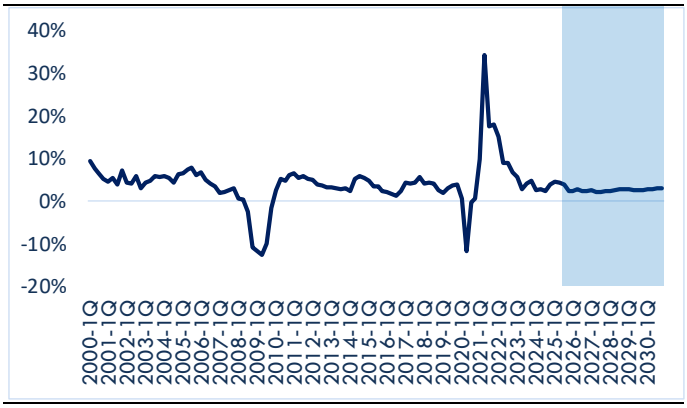
Source: Moody's Analytics

Other Economic Factors with a High Correlation to Lodging in the Anaheim Market

Retail sales growth has historically had a strong correlation with lodging trends in Anaheim. This is likely driven by the high leisure orientation of the market. Since 2000, retail sales have had a 78.5% correlation with lodging RevPAR.

Since 2000, Anaheim retail sales have experienced an average annual growth rate of 4.1%, slightly below the national average of 4.4%. Anaheim's retail sales are expected to increase 2.4% in 2026 and 2.3% in 2027.

Retail Sales Growth (year-over year)



Source: Moody's Analytics

Lodging Supply

In recent years, supply growth has been muted, remaining flat in 2023, before growth accelerated to 0.9% in 2024 but reverted back to no growth in 2025. However, supply is expected to decline slightly in 2026 before growing slightly afterward.

The Anaheim market has been undergoing neighborhood revitalization efforts, converting motels to other uses, which has contributed to slight supply declines. A former 120-room Travelodge in the Santa Ana/Costa Mesa submarket was permanently closed in early 2025 for conversion into affordable housing. Further, the La Ensenada Hotel Laguna Beach, Sonder, with 66 rooms, closed in late 2025 following Sonder's bankruptcy. More recently, the Howard Johnson by Wyndham Buena Park permanently closed in February 2026, along with a few other smaller boutique hotels, limiting supply growth. Over the next five years, supply growth is estimated to grow at a 0.3% CAGR.

Overall, 0.3% of Anaheim's current room count is under construction and another 8.8% is in various planning stages. Supply growth in Anaheim is ranked 60th among LARC's 64 markets over the next five years, suggesting relatively low supply risk across the market.

On a submarket level, the only submarket with any supply under construction is the Santa Ana/Costa Mesa submarket, which has less than 200 rooms under construction. Newport Beach only has 5 rooms under construction. As such, based on construction levels, no submarket is expected to experience outsized supply growth throughout our forecast period.

Submarket Supply & Openings *(as % of existing stock)*

Market/Submarket	In Construction	In Planning	2025	2026F	2027F	2028F
Santa Ana/Costa Mesa	1.2%	10.3%	0.0%	0.0%	1.2%	0.9%
Newport Beach/Dana Point	0.0%	15.5%	1.0%	0.0%	0.0%	1.3%
Orange County Northwest/Fullerton	0.0%	8.9%	1.2%	0.0%	0.0%	0.7%
Disneyland	0.0%	5.7%	0.0%	0.0%	0.0%	0.5%
Anaheim	0.0%	2.7%	0.0%	0.0%	0.0%	0.2%
Anaheim/Santa Ana	**0.3%**	**8.8%**	**0.0%**	**-0.6%**	**0.1%**	**0.5%**

Source: BuildCentral, Lodging Analytics Research & Consulting

Lodging Supply Growth *(forecasts begin 2Q-2026)*

	1Q	2Q	3Q	4Q	Year
2023	-0.9%	-0.8%	0.6%	1.2%	**0.0%**
2024	1.3%	1.3%	0.7%	0.2%	**0.9%**
2025	0.4%	0.2%	-0.2%	-0.2%	**0.0%**
2026F	*-0.8%*	*-0.7%*	*-0.6%*	*-0.5%*	***-0.6%***
2027F	*-0.2%*	*0.2%*	*0.3%*	*0.3%*	***0.1%***
2028F	*0.4%*	*0.4%*	*0.5%*	*0.6%*	***0.5%***
'25 - '28F CAGR		***0.0%***			
'25 - '30F CAGR		***0.3%***			

Source: BuildCentral, Lodging Analytics Research & Consulting

Select Hotel Developments

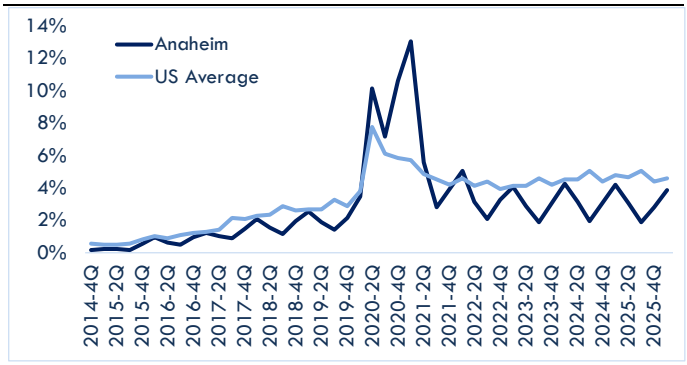
Hotel	Submarket	Rooms	Development Phase	Projected Opening
Home2 Suites by Hilton Irvine Orange County Airport	Santa Ana/Costa Mesa	172	Construction	2Q-2027
Lido House Hotel Expansion	Newport Beach/Dana Point	5	Construction	3Q-2026
Le Méridien Anaheim Garden Grove	Disneyland	402	Planning	
California Resources Corporation Mixed-Use - Hotel	Santa Ana/Costa Mesa	350	Planning	
Disneyland Forward Hotel 2	Disneyland	250	Planning	
Grove District Resort Hotel Three	Disneyland	250	Planning	
Related -Bristol Hotel	Santa Ana/Costa Mesa	250	Planning	
Magnolia Tank Farm Boutique Hotel	Santa Ana/Costa Mesa	215	Planning	
Westminster Mall Mixed-Use Redevelopment	Santa Ana/Costa Mesa	175	Planning	
MainPlace Mall Redevelopment	Santa Ana/Costa Mesa	175	Planning	
Dana Point Harbor Affordable Hotel- Surf Lodge	Newport Beach/Dana Point	169	Planning	
Great Park Neighborhoods Development - The Base Mixed-Use	Newport Beach/Dana Point	162	Planning	
Brea Place Residence Inn by Marriott	Orange County Northwest/Fullerton	146	Planning	
Home2 Suites by Hilton	Orange County Northwest/Fullerton	140	Planning	
401 W Avenida Vista Hermosa Hotel	Newport Beach/Dana Point	130	Planning	
The Lodge at San Clemente	Newport Beach/Dana Point	130	Planning	
Dana House	Newport Beach/Dana Point	130	Planning	
Parkwest Hotel	Orange County Northwest/Fullerton	126	Planning	
Village at Laguna Hills, Phase I	Newport Beach/Dana Point	126	Planning	

Source: BuildCentral, Lodging Analytics Research & Consulting

Home Sharing Supply

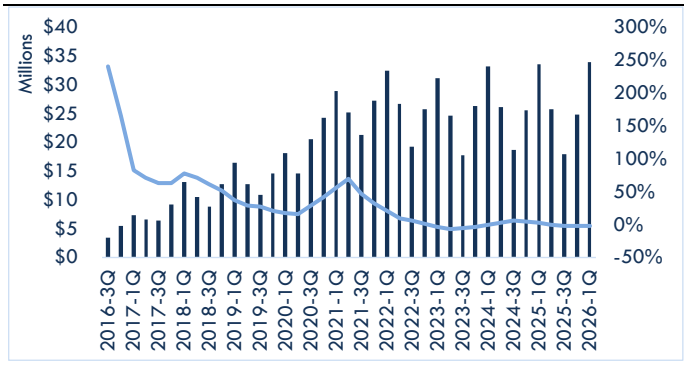
Anaheim has historically been impacted by the home sharing industry at a comparable level to that of the national average. However, beginning in 2Q-2020, as business travel evaporated amid the Covid-19 pandemic, Anaheim's exposure to home sharing spiked, surpassing the national average. Until 2Q-2020, home sharing accounted for no more than 4.1% of all accommodation revenues (defined as hotel-comparable home sharing revenue + hotel rooms revenue) in Anaheim in any given quarter, though it was on the rise. This compares to the national average of 4.3% in 1Q-2020 and 3.2% over the prior twelve months. As hotel demand began to recover, that market share reverted to historical trends, though movement has been choppy. In 1Q-2026, home sharing accounted for 3.9% of all accommodation revenues in Anaheim, versus 4.6% across the U.S. Like most markets, short term rental revenue growth has been primarily fueled by supply expansion rather than occupancy growth or ADR increases.

Hotel-Comparable Home Sharing Share of Accommodations Revenue



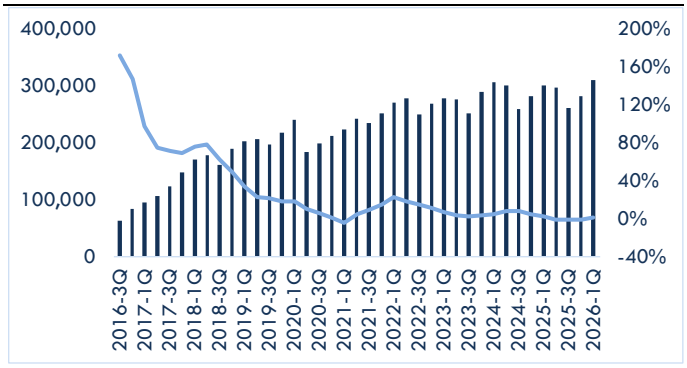
Source: Lodging Analytics Research & Consulting, AirDNA

Hotel-Comparable Home Sharing Revenue and YoY Growth on a Rolling 4-Quarter Basis



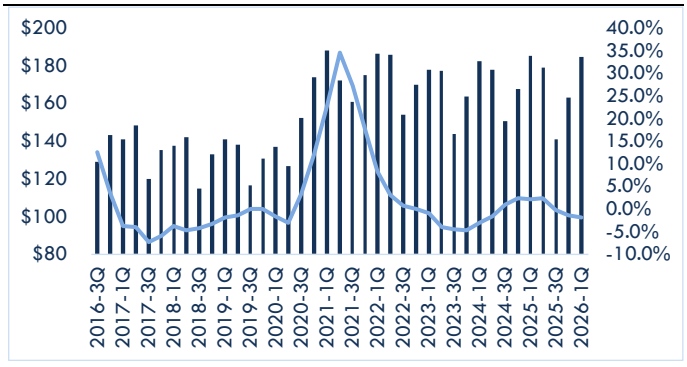
Source: Lodging Analytics Research & Consulting, AirDNA

Hotel-Comparable Home Sharing Available Room Nights and YoY Growth on a Rolling 4-Quarter Basis



Source: Lodging Analytics Research & Consulting, AirDNA

Hotel-Comparable Home Sharing ADR and YoY Growth on a Rolling 4-Quarter Basis



Source: Lodging Analytics Research & Consulting, AirDNA

Home Sharing Regulation Update

As of mid-2025, the Orange County Grand Jury found that 19 cities in the county ban short-term rentals, while 15 cities allow them. Cities such as Santa Ana, Stanton, Garden Grove, Irvine, Fountain Valley, Westminster, Costa Mesa, Tustin, Yorba Linda, Brea, Cypress, Aliso Viejo, Laguna Hills, and Rancho Santa Margarita had in-place bans on short-term rentals; however, the Grand Jury is currently exploring "Long-Term Solutions to Short-Term Rentals" in a study aimed at trying to improve short-term rental regulations before the 2026 World Cup and 2028 Olympics, which could result in a loosening of short-term rental regulations/temporary lifts to bans in some areas. In January 2026, Brea city officials introduced a new short-term rental pilot program, despite the previous ban. Similar to other areas, the pilot program requires residents to obtain a $1,000 permit to operate a short-term rental and limits the number of guests based on available bedrooms. The program is limited to 100 total permits and is set to expire in December 2029.

In June 2019, the Anaheim City Council adopted a new policy on short-term rentals that allows 222 previously non-permitted short-term rental units to operate, provided they are not in communities that have banned them. Per the policy, no new permits will be issued and new short-term rental units are not legally allowed to operate. The fine for operating a short-term rental illegally is $2,500 per instance and includes a misdemeanor offense.

In October 2021, Newport Beach approved expanded regulations that limit the total number of short-term rentals in the city to 1,550 and threaten fines for violations up to $9,000 a day. These regulations became effective in January 2022. In August 2025, Newport Beach moved to adopt further regulations suggested by the California Coastal Commission. These regulations primarily pertain to the upper Balboa Peninsula and include a cap of 75 permitted units for rentals built before November 25, 2010, while simultaneously limiting permitting in the coastal zones to owners who operate at least 20 units. The new regulations are intended to curb supply and increase the ease of regulation enforcement.

In early 2021, Huntington Beach added short-term rentals to the municipal code. All short-term rentals must have a valid city permit; otherwise, online advertisements will be pulled. Owner-occupied rentals are allowed in both zones, Huntington Beach and Sunset Beach, while owner unoccupied rentals are only allowed in Sunset Beach with certain requirements. One rental is allowed per property, unless that property has four or more units, in which case three are allowed. Violations incur a $1,000 fine per day and three distinct violations in a span of twelve months will lead to permit revocation. Further, Huntington Beach has been engaged in a multi-year legal battle with the State of California over violations of the Housing Element Law, which requires all local governments to submit adequate plans to meet the housing needs of all community members. The violation first came to light in October 2021, a few months after short-term rentals were added to the municipal code; however, the California Supreme Court declined to hear Huntington Beach's appeal regarding state mandated housing remedies in December 2025, and the United States Supreme Court rejected the appeal in February 2026. As such, Huntington Beach could face limitations regarding permitting, zoning, and subdivision authority until a lawful housing element is adopted. While the state mandated remedy does not directly address the role that short-term rentals might play in violating the Housing Element Law, it is possible that legal scrutiny could result in tightened home-sharing regulations in the future.

In Laguna Beach, regulations went into effect in October 2020 that ban new short-term rentals in residential

neighborhoods. Outside of residential areas, permits for whole home rentals will be capped at 300 across the city and owner-occupied permits are capped at 165. Additionally, properties with more than five units may only convert a maximum of 20% of the total number of units into short-term rentals.

In July 2021, the city of Orange implemented an ordinance that caps the number of short-term rental permits to 125. Short-term rental properties must be owned by a personal trust or individual owner, and there is a limit of two properties per owner. As of July 2024, the maximum number of registrations had been reached.

In October 2020, Fullerton capped whole-house short term rentals to 325 total permits. Then in May 2021, the council tried to ban rentals of owner unoccupied units, but the motion failed. A compromise amendment was later introduced that allowed 100 of the 325 short-term rentals to be whole house rentals, or rentals without an owner present. However, without proper fines and enforcement, regulations have been difficult to enforce, resulting in approximately 200 unlicensed rentals across Fullerton. Given the impending World Cup in 2026 and Olympics in 2028, officials are looking to tighten short-term rental regulations. In May 2025, Fullerton implemented a 45-day moratorium on new short-term rentals to review the existing ordinance and impact on rentals across the market. In December 2025, City Officials announced a two-year extension to the moratorium, now valid through 2027. Despite inconclusive results from the initial review, the City is still actively exploring a permanent ban for those operating unlicensed.

In 2022, Dana Point City Council approved a new program for short-term rentals that does not implement a cap on multi-family units, homestays, or primary residences for use as short-term rentals, but limits owners to one permit each. Additionally, residential units in a mixed-use area are capped at 20%. Once caps are met, owners can join a waiting list. Fines for non-compliance are $1,500 for the first strike, $3,000 for a second, and $5,000 for a third. Outside of the coastal zone, there is a cap of 115 rentals, bringing the total cap inside and outside the coastal zone to 230 units. These regulations could help supply to grow at a measured pace with limitations. The City must return to the California Coastal Commission in 2028 to evaluate the ordinance. Officials are authorized to grant permits without city council approval, so long as the total is still below the overall maximum cap, but some are driving efforts for enforcement on unlicensed rentals.

In March 2025, the City of Los Angeles filed a $62 million lawsuit against a group of property owners operating as Hiller Hospitality Group for partaking in illegal price gauging of 113% following the Los Angeles wildfires. The group faces further penalty for advertising/offering short-term rentals without the required permits, including rent-stabilized units, which cannot legally be offered as STRs. While this instance impacts one specific group of property owners, it does point to a potential review/tightening of regulations in the area.

In October 2025, Placentia implemented a one-year ban on new short-term rentals while city council members work to form new regulations.

Recent Transactions

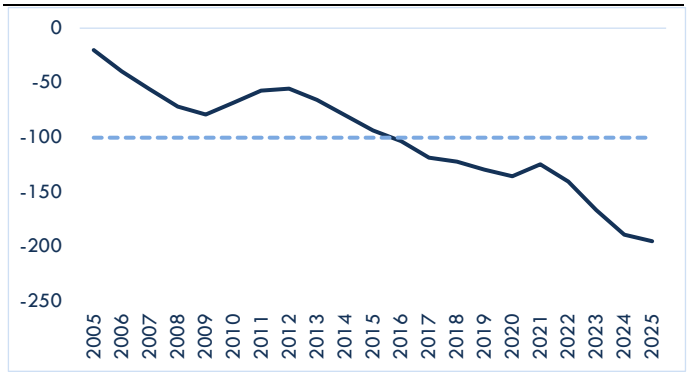
It is important to note that during periods of limited transaction volume, market-wide prices per room and cap rates can be less reliable. As such, we caution undue reliance on some of the recent data points shown.

Anaheim hotel cap rates have been relatively stable since 2014, ranging from a low of 7.1% to a high of 7.7% and averaging 7.5% over that period. Anaheim cap rate spreads vs. the U.S. cap rate have been generally declining since 2012, ranging from a low of (189) bps in 2024 to a high of (56) bps in 2012, averaging (101) bps since 2005. Recent cap rates and spreads are below the midpoint of historical ranges, suggesting that there is more risk to cap rate expansion than cap rate compression via mean regression.

While cap rates have been stable, values per room have experienced swings based on changing Hotel NOIs. Over the five years leading to the pandemic, values per room grew at a 7.7% CAGR. Following the trough in 2021, aggressive growth resumed.

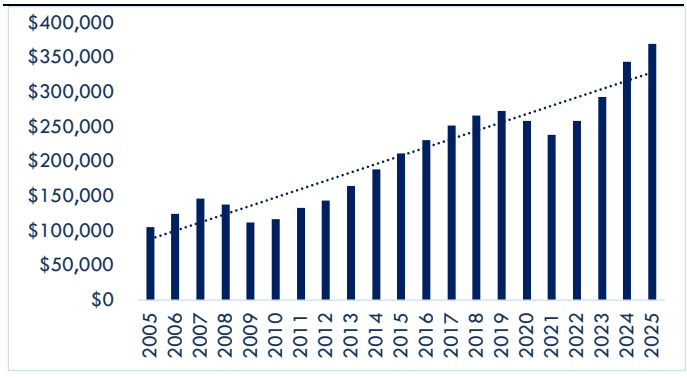
Recent transactions have ranged from $109,000 per room for the Howard Johnson Hotel & Conference Center to over $2.5 million per room for the Montage Laguna Beach. Of note, the Pacific Edge Hotel in Laguna Beach sold in June 2024 for $656,000 per room, a 39% increase from its last sale price in June 2017. The Residence Inn Costa Mesa Newport Beach also resold in December 2024 for $274,000 per room, representing a 39% increase from its last sale price in May 2024.

Historical Anaheim Lodging Cap Rate Spreads to the U.S. Cap Rate



Source: Lodging Analytics Research & Consulting, CoStar

Historical Hotel Transaction Values per Room



Source: Lodging Analytics Research & Consulting, CoStar

Recent Hotel Transactions ($15 million and above)

Property Name	Date	Submarket	Units	Price (000)	Price/ Unit (000)	Buyer	Seller	LARC Score [1]
Best Western Marina Shores Hotel	Oct-25	Newport Beach/Dana Point	87	$17,500	$201	Kamla Hotels	Sunset Pacific Hotel Group	68
Laguna Hills Lodge	Mar-25	Newport Beach/Dana Point	121	$17,000	$140	Haley Hospitality Enterprises	LHMLP	85
Residence Inn Costa Mesa Newport Beach	Dec-24	Santa Ana/Costa Mesa	144	$39,500	$274	Ladera Linda, LLC	Costa Mesa RI Holdings LLC	92
Embassy Suites Santa Ana Orange County Airport	Oct-24	Santa Ana/Costa Mesa	301	$41,235	$137	Manhattan Hotel Group	Windosr Hospitality	80
Ramada by Wyndham Costa Mesa/Newport Beach	Aug-24	Santa Ana/Costa Mesa	137	$20,474	$149	Excel Hotel Group	Washington Capital Management	83
Pacific Edge Hotel	Jun-24	Newport Beach/Dana Point	122	$80,000	$656	Dune Drifter Llc	Highgate Hotels, Morgan Stanley	60
Residence Inn Costa Mesa Newport Beach	May-24	Santa Ana/Costa Mesa	144	$28,500	$198	Costa Mesa RI Holdings, LLC	Blackstone	92
Sonder Solarena	Dec-23	Newport Beach/Dana Point	47	$19,000	$404	Pak / Mohsen & Abdolsalehi	IRA Capital, LLC	86
SpringHill Suites Irvine John Wayne Airport	Oct-23	Santa Ana/Costa Mesa	132	$34,070	$258	Marwaha Family Office	BRE Hotels & Resorts LLC	90
Hampton Inn & Suites San Clemente	Sep-23	Newport Beach/Dana Point	69	$15,000	$217	Waverley One, LLC	QSSC LLC	62
Holiday Inn Express & Suites Santa Ana-Orange County	Feb-23	Santa Ana/Costa Mesa	161	$29,490	$183	Shankara Investments, LLC	Glacier House Hotels	84
DoubleTree Suites Anaheim Resort - Convention Center	Jan-23	Disneyland	251	$62,000	$247	MHG Capital	O'Connell Hotel Group	75
Montage Laguna Beach	Nov-22	Newport Beach / Dana Point	260	$661,000	$2,542	Landry's Hospitality	Strategic Hotels & Resorts	65
La Quinta Inn Orange County Airport	Oct-22	Santa Ana / Costa Mesa	181	$26,900	$149	Amit D Patel	Highgate Hotels L.P.	82
Fairfield Inn Anaheim North/Buena Park	Oct-22	Orange County Northwest/Fullerton	137	$23,600	$172	Ghanshyamsinh J Zala	Dominion International Inc	70
La Quinta Inn Buena Park	Sep-22	NW / Fullerton	157	$25,500	$162	Amit Patel; Amar Patel	Highgate Holdings, Cerberus	68
La Quinta Inn Anaheim	Aug-22	Disneyland	129	$18,250	$141	Mehulkumar Ahir (AZ)	NewcrestImage	51
Howard Johnson Hotel & Conf. Center	Aug-22	Northwest/Fullerton	201	$22,000	$109	Heritage Hotel Group	XY Auttun LLC	76
Hotel Irvine	Aug-22	Santa Ana / Costa Mesa	541	$133,631	$247	Hyatt Hotels	Irvine Co	80

Source: CoStar, LW Hospitality Advisors

[1] The LARC Score is a data-driven, objective scoring mechanism that analytically measures the quality of a hotel location based on proximity to hotel demand drivers relative to competitive supply. The score is indexed from 0 to 100 with 50 being the average score across the U.S. and 100 being perfect. The LARC score identifies the quality of a site location, not the asset on that location.

Revenue Forecast Models

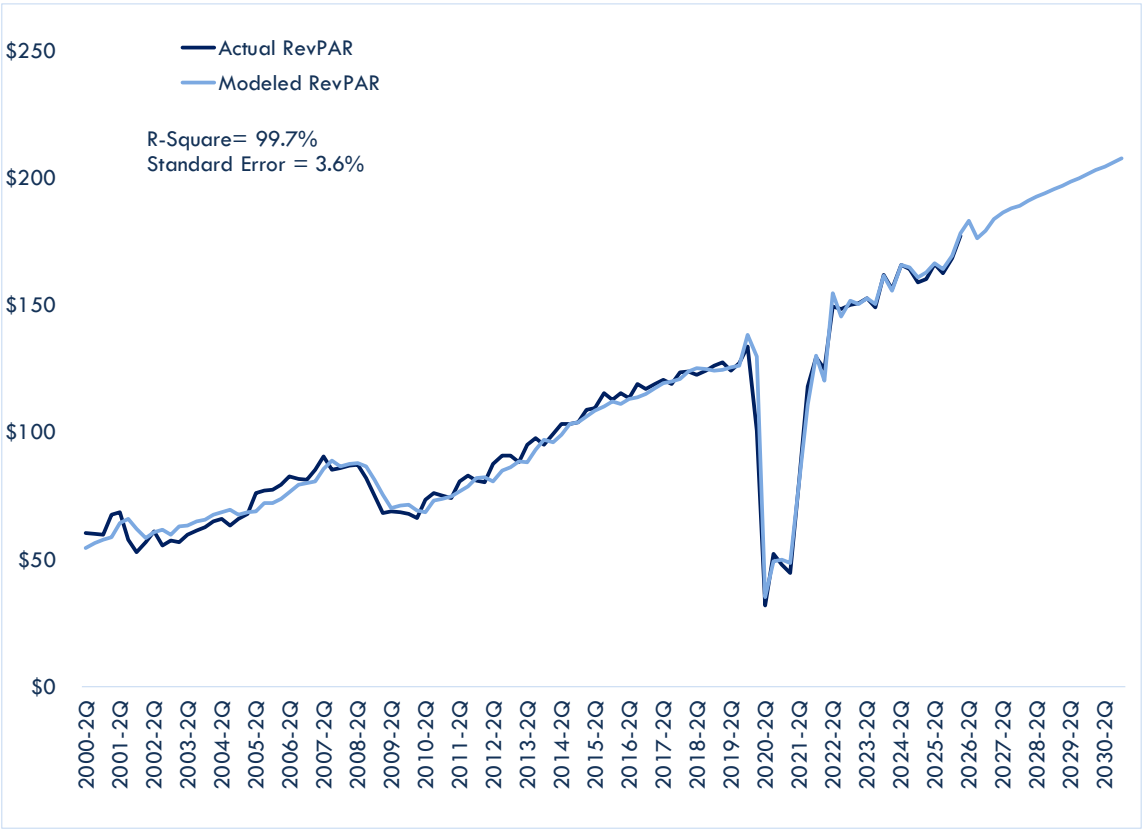
RevPAR Growth Outlook

In addition to hotel supply and convention pacing data, our seasonally adjusted RevPAR model is primarily driven by the following key variables:

- Anaheim MSA Real GMP (75.8% correlation)
- Anaheim MSA Unemployment Rate (-38.0% correlation)
- Anaheim MSA Office Employment (65.1% correlation)
- Anaheim MSA Retail Sales (78.5% correlation)

Based on these variables, along with several others, we have created a regression forecast model that has a 99.7% R-Squared, indicating an extremely high prediction confidence level, within a standard error of 3.6%. Moody's Analytics forecasts the Anaheim Unemployment Rate to contract (72) bps from 2025 to 2028 and (69) bps through 2030. Moody's Analytics forecasts a 2.0% 3-year CAGR for Anaheim MSA Real GMP and a 2.1% 5-year CAGR.

RevPAR, Seasonally Adjusted



Source: Lodging Analytics Research & Consulting, CoStar

RevPAR CAGR Sensitivity to Key Variables: 3-Year Outlook

3-Yr Real GMP CAGR	3-Year Unemployment Rate Chg (bps)						
	(252)	(192)	(132)	(72)	(12)	48	108
0.5%	6.2%	5.5%	4.8%	4.1%	3.3%	2.6%	1.8%
1.0%	6.7%	6.0%	5.3%	4.6%	3.9%	3.1%	2.4%
1.5%	7.2%	6.5%	5.8%	5.1%	4.4%	3.7%	2.9%
2.0%	7.7%	7.0%	6.3%	**5.6%**	4.9%	4.2%	3.4%
2.5%	8.2%	7.5%	6.8%	6.1%	5.4%	4.7%	4.0%
3.0%	8.7%	8.0%	7.4%	6.7%	6.0%	5.2%	4.5%
3.5%	9.2%	8.6%	7.9%	7.2%	6.5%	5.8%	5.1%

Source: Lodging Analytics Research & Consulting

RevPAR CAGR Sensitivity to Key Variables: 5-Year Outlook

5-Yr Real GMP CAGR	5-Year Unemployment Rate Chg (bps)						
	(369)	(269)	(169)	(69)	31	131	231
0.6%	5.2%	4.4%	3.7%	2.9%	2.1%	1.3%	0.5%
1.1%	5.7%	5.0%	4.2%	3.5%	2.7%	1.9%	1.1%
1.6%	6.2%	5.5%	4.8%	4.0%	3.3%	2.5%	1.7%
2.1%	6.7%	6.0%	5.3%	**4.6%**	3.9%	3.1%	2.3%
2.6%	7.2%	6.5%	5.9%	5.1%	4.4%	3.7%	2.9%
3.1%	7.7%	7.1%	6.4%	5.7%	5.0%	4.3%	3.5%
3.6%	8.2%	7.6%	6.9%	6.3%	5.6%	4.8%	4.1%

Source: Lodging Analytics Research & Consulting

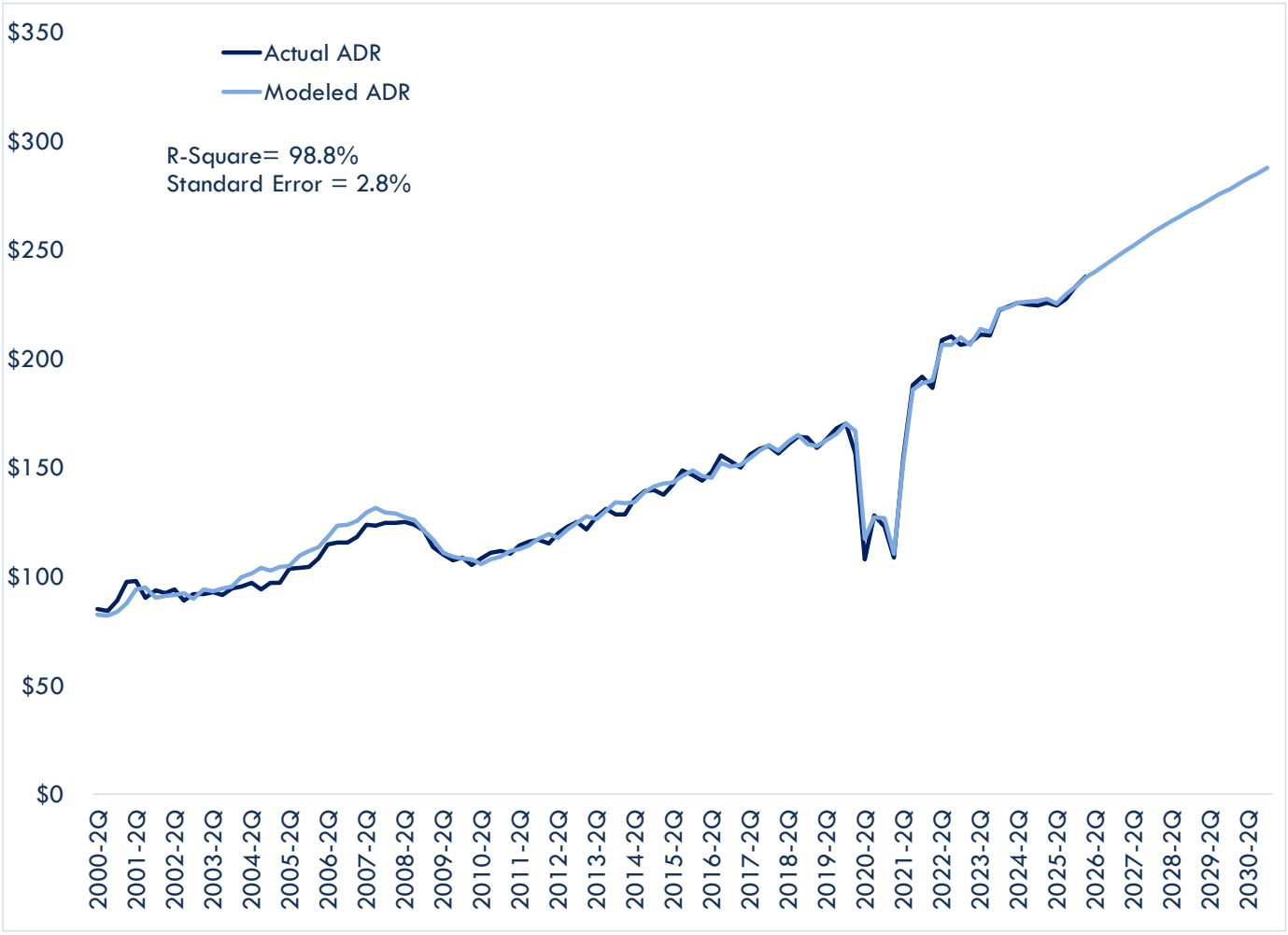
ADR Growth Outlook

In addition to hotel supply and convention pacing data, our seasonally adjusted ADR model is primarily driven by the following key variables, among others:

- MSA CPI (93.3% correlation)
- MSA Unemployment Rate (-28.6% correlation)
- MSA Office Employment (72.0% correlation)

Based on these variables and a few others, we have created a regression forecast model that has a 98.8% R-Squared, indicating an extremely high prediction confidence level, within a standard error of 2.8%. Moody's Analytics forecasts the Anaheim Unemployment Rate to contract (72) bps from 2025 to 2028 and (69) bps through 2030. Moody's Analytics forecasts a 3.1% 3-year CAGR for Anaheim CPI and a 2.8% 5-year CAGR.

ADR, Seasonally Adjusted



Source: Lodging Analytics Research & Consulting, CoStar

ADR CAGR Sensitivity to Key Variables: 3-Year Outlook

3-Year Local CPI CAGR	3-Year Unemployment Rate Change (bps)						
	(252)	(192)	(132)	(72)	(12)	48	108
1.6%	4.8%	4.2%	3.7%	3.1%	2.5%	1.9%	1.3%
2.1%	5.5%	4.9%	4.3%	3.7%	3.2%	2.6%	2.0%
2.6%	6.1%	5.6%	5.0%	4.4%	3.8%	3.3%	2.7%
3.1%	6.8%	6.2%	5.6%	**5.1%**	4.5%	3.9%	3.3%
3.6%	7.4%	6.9%	6.3%	5.7%	5.2%	4.6%	4.0%
4.1%	8.0%	7.5%	7.0%	6.4%	5.9%	5.3%	4.7%
4.6%	8.7%	8.1%	7.6%	7.1%	6.5%	6.0%	5.4%

Source: Lodging Analytics Research & Consulting

ADR CAGR Sensitivity to Key Variables: 5-Year Outlook

5-Year Local CPI CAGR	5-Year Unemployment Rate Change (bps)						
	(249)	(189)	(129)	(69)	(9)	51	111
1.3%	4.2%	3.6%	2.9%	2.3%	1.7%	1.0%	0.3%
1.8%	4.9%	4.3%	3.7%	3.1%	2.4%	1.8%	1.1%
2.3%	5.6%	5.0%	4.4%	3.8%	3.2%	2.5%	1.9%
2.8%	6.2%	5.7%	5.1%	**4.5%**	3.9%	3.3%	2.7%
3.3%	6.9%	6.4%	5.8%	5.2%	4.7%	4.1%	3.5%
3.8%	7.6%	7.1%	6.5%	6.0%	5.4%	4.8%	4.2%
4.3%	8.3%	7.7%	7.2%	6.7%	6.1%	5.6%	5.0%

Source: Lodging Analytics Research & Consulting

Detailed RevPAR and ADR forecasts by quarter and by year through 2030 are available on page 2.

Occupancy Growth Outlook

Using our RevPAR and ADR growth outlooks we derive our occupancy outlook. Using our Supply growth forecast as well, we back into our demand growth outlook.

Supply, Demand and Occupancy Forecast

(forecast begins 2Q-2026)

	Supply Growth	Demand Growth	Occupancy	Occupancy Growth
2022-1Q	19.4%	92.8%	62.0%	61.4%
2022-2Q	6.2%	43.9%	73.1%	35.5%
2022-3Q	-0.6%	11.7%	75.5%	12.4%
2022-4Q	-1.0%	6.6%	70.2%	7.7%
2022	5.4%	29.6%	70.2%	23.0%
2023-1Q	-0.9%	7.6%	67.3%	8.6%
2023-2Q	-0.8%	-0.1%	73.6%	0.8%
2023-3Q	0.6%	0.0%	75.0%	-0.6%
2023-4Q	1.2%	1.4%	70.4%	0.3%
2023	0.0%	2.0%	71.6%	2.0%
2024-1Q	1.3%	1.2%	67.3%	-0.1%
2024-2Q	1.3%	-1.1%	71.9%	-2.4%
2024-3Q	0.7%	3.2%	76.9%	2.5%
2024-4Q	0.2%	0.4%	70.5%	0.2%
2024	0.9%	0.9%	71.7%	0.1%
2025-1Q	0.4%	3.4%	69.3%	3.0%
2025-2Q	0.2%	0.8%	72.3%	0.6%
2025-3Q	-0.2%	-2.3%	75.2%	-2.1%
2025-4Q	-0.2%	1.9%	72.1%	2.1%
2025	0.0%	0.8%	72.2%	0.8%
2026-1Q	-0.8%	4.3%	72.8%	5.0%
2026-2Q F	*-0.7%*	*2.5%*	*74.6%*	*3.2%*
2026-3Q F	*-0.6%*	*1.2%*	*76.6%*	*1.8%*
2026-4Q F	*-0.5%*	*0.4%*	*72.7%*	*0.9%*
2026 F	*-0.6%*	*2.0%*	*74.2%*	*2.7%*
2027-1Q F	*-0.2%*	*-1.2%*	*72.0%*	*-1.0%*
2027-2Q F	*0.2%*	*-2.9%*	*72.3%*	*-3.0%*
2027-3Q F	*0.3%*	*1.8%*	*77.7%*	*1.5%*
2027-4Q F	*0.3%*	*1.0%*	*73.2%*	*0.7%*
2027 F	*0.1%*	*-0.3%*	*73.9%*	*-0.4%*
2028-1Q F	*0.4%*	*-0.3%*	*71.6%*	*-0.7%*
2028-2Q F	*0.4%*	*-0.7%*	*71.5%*	*-1.1%*
2028-3Q F	*0.5%*	*-0.6%*	*77.0%*	*-1.0%*
2028-4Q F	*0.6%*	*0.0%*	*72.7%*	*-0.7%*
2028 F	*0.5%*	*-0.4%*	*73.2%*	*-0.9%*
2029-1Q F	*0.7%*	*-0.1%*	*71.0%*	*-0.8%*
2029-2Q F	*0.7%*	*0.0%*	*71.0%*	*-0.7%*
2029-3Q F	*0.7%*	*0.1%*	*76.5%*	*-0.6%*
2029-4Q F	*0.7%*	*0.2%*	*72.3%*	*-0.6%*
2029 F	*0.7%*	*0.1%*	*72.7%*	*-0.7%*
2030-1Q F	*0.7%*	*0.2%*	*70.6%*	*-0.5%*
2030-2Q F	*0.7%*	*0.3%*	*70.7%*	*-0.5%*
2030-3Q F	*0.7%*	*0.3%*	*76.1%*	*-0.5%*
2030-4Q F	*0.7%*	*0.3%*	*72.0%*	*-0.5%*
2030 F	*0.7%*	*0.3%*	*72.4%*	*-0.5%*

Source: Lodging Analytics Research & Consulting, CoStar, BuildCentral

EBITDA Forecast

We estimate that Anaheim's 2019 Hotel EBITDA margin was almost 200 bps above the national average. By 2022, we estimate that margins had exceeded 2019 levels and Hotel EBITDA was over 15% above 2019 levels. However, we estimate that margins and Hotel EBITDA have declined significantly since then and were over 500 bps below 2019 levels in 2025. The primary drivers of EBITDA growth, in addition to the top line, are labor and property taxes. Labor accounts for 32.1% of total costs in the market and property taxes account for 2.8% of the overall cost structure.

Property Taxes

Anaheim's adopted budget for FY-2026 began July 1st, 2025, and includes a 4.0% increase in property tax revenues, well below the 6.8% increase in FY-2025. Property tax revenues are expected to continually increase through 2030, growing around 3.3% in FY-2027, 2.9% in FY-2028, 2.5% in FY-2029, and 2.0% in FY-2030. In Orange County, property tax revenues are expected to increase 6.9% in FY-2026, accounting for nearly 92% of all General-Purpose Revenues for the County. Proposition 13 limits the impact that the City of Anaheim and Orange County budget increases can have on actual property taxes.

In January 2026, Governor Newsom proposed a $348.9 billion State budget with a $2.9 billion deficit in FY 2026/2027, which worsens to $22 billion in FY 2027/2028. Ongoing programs could lose funding as the state attempts to correct the shortfall. Local property tax adjustments are slated to decline, while property taxes continue to rise across California. Orange County receives the lowest property tax revenue allocation amongst California's 58 counties, standing at just 5%. Orange County could be forced to increase its spending, placing added risk of rising property taxes across the county and Anaheim. Given these factors, there is a risk that property taxes could increase at a higher rate than Proposition 13 suggests. However, due to Proposition 13, we forecast a 2.0% property tax CAGR over the next five years.

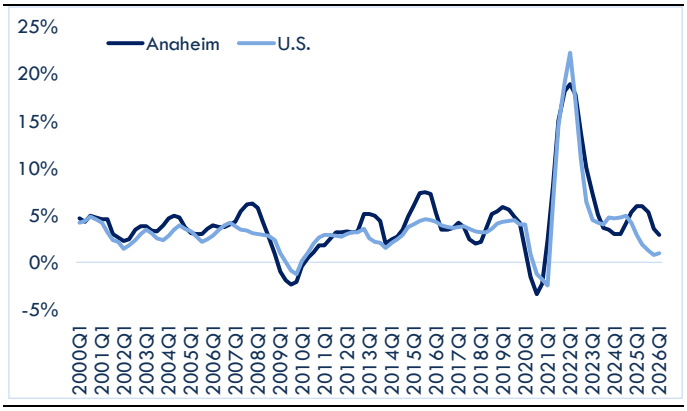
Labor Costs

Labor is the primary factor driving expense growth in Anaheim. Accounting for 32.1% of total hotel costs, increases in labor costs across the lodging industry in this market will continue to limit profit growth.

Leading up to the pandemic, Anaheim's labor wages across the lodging industry on a per employee basis grew

at a faster rate than the national average. In fact, over the quarters leading up to the pandemic, we saw Anaheim's wage growth rate exceed 5%. We believe this wage rate increase was fueled by lower-than-national unemployment rates as well as an immigration-related employee shortage beyond the national average in Anaheim. While Anaheim saw a wage growth spike during the pandemic, the degree of that increase was slightly lower than the national average. Until recently, growth rates had meaningfully slowed, but California minimum wage increased to $16/hour and is expected to increase to $16.90/hour in 2026, likely impacting lodging wages. Further, neighboring Los Angeles County will increase the minimum wage for hotel employees to $30 per hour by 2028. It is possible this disparity could cause Orange County hoteliers to raise wages to be more competitive.

Historical Lodging Wage Rate Growth (TTM)



Source: Lodging Analytics Research & Consulting, Moody's Analytics

Of note, the new collective bargaining agreement across the Anaheim market has driven marginally higher wages. We forecast a 2.4% wage rate CAGR over the next five years. Our wage rate CAGR translates into a 6.4% labor cost CAGR over the same time frame, when accounting for changing occupancies, overtime risks and cost flexing in negative environments.

Anaheim Lodging Wage Rate Growth Forecast

	1Q	2Q	3Q	4Q	Annual
2022	16.1%	12.9%	7.6%	3.7%	**9.8%**
2023	4.9%	4.1%	1.9%	3.2%	**3.5%**
2024	2.7%	4.3%	6.2%	8.0%	**5.3%**
2025	5.2%	4.5%	3.5%	1.1%	**3.5%**
2026 F	*2.6%*	*2.4%*	*2.3%*	*3.1%*	***2.6%***
2027 F	*3.0%*	*2.7%*	*2.4%*	*2.2%*	***2.5%***
2028 F	*2.0%*	*1.8%*	*1.8%*	*1.9%*	***1.9%***
2029 F	*2.1%*	*2.3%*	*2.5%*	*2.6%*	***2.4%***
2030 F	*2.7%*	*2.8%*	*2.9%*	*2.9%*	***2.8%***

Source: Lodging Analytics Research & Consulting, Moody's Analytics

Expense Growth Forecast

Our expense growth forecast is primarily driven by the Anaheim market hotel cost structure and our expected increases in property taxes and labor costs in the market. We also assume a standard level of cost flexing related to changing occupancies and negative environments. As a result, we forecast an expense CAGR over the next five years of 4.7%, well above the 2.3% national average.

Anaheim Expense Growth Forecast

	1Q	2Q	3Q	4Q	Annual
2022	78.1%	49.7%	22.6%	15.4%	**36.0%**
2023	18.1%	9.4%	6.7%	7.7%	**10.1%**
2024	1.6%	-0.3%	4.9%	3.6%	**2.5%**
2025	6.3%	3.9%	1.1%	4.2%	**3.8%**
2026 F	*9.9%*	*7.9%*	*6.5%*	*6.2%*	***7.6%***
2027 F	*4.2%*	*1.9%*	*6.3%*	*5.4%*	***4.5%***
2028 F	*3.9%*	*3.3%*	*3.3%*	*3.7%*	***3.6%***
2029 F	*3.6%*	*3.8%*	*4.0%*	*4.1%*	***3.9%***
2030 F	*3.8%*	*3.8%*	*3.9%*	*4.0%*	***3.9%***

Source: Lodging Analytics Research & Consulting

Hotel EBITDA Growth Forecast

Using our RevPAR and Expense forecasts, we derive our Hotel EBITDA growth and margin forecast.

Anaheim Hotel EBITDA Margin Change Forecast (bps)

	1Q	2Q	3Q	4Q	Annual
2022	3,713	1,459	161	35	**663**
2023	161	(481)	(452)	14	**(238)**
2024	(26)	(369)	(254)	(482)	**(286)**
2025	(261)	(291)	(155)	129	**(145)**
2026 F	*50*	*168*	*137*	*21*	***94***
2027 F	*(42)*	*(6)*	*21*	*18*	***3***
2028 F	*5*	*(6)*	*(16)*	*(24)*	***(11)***
2029 F	*(40)*	*(53)*	*(62)*	*(77)*	***(58)***
2030 F	*(50)*	*(56)*	*(58)*	*(66)*	***(58)***

Source: Lodging Analytics Research & Consulting, Moody's Analytics

Anaheim EBITDA Growth Forecast

	1Q	2Q	3Q	4Q	Annual
2022	-614%	222.2%	31.5%	17%	**85.8%**
2023	29%	-12.6%	-12.6%	8%	**-1.6%**
2024	0.3%	-17.3%	-6.9%	-19.2%	**-11.2%**
2025	-7.7%	-11.5%	-6.2%	11.7%	**-3.8%**
2026 F	*13.0%*	*18.6%*	*13.9%*	*7.3%*	***13.0%***
2027 F	*1.8%*	*1.6%*	*7.4%*	*6.4%*	***4.7%***
2028 F	*4.2%*	*3.0%*	*2.6%*	*2.3%*	***2.9%***
2029 F	*1.3%*	*0.8%*	*0.9%*	*-0.1%*	***0.7%***
2030 F	*0.8%*	*0.6%*	*1.0%*	*0.3%*	***0.7%***

Source: Lodging Analytics Research & Consulting, Moody's Analytics

Investment Forecast Model

Anaheim Cap Rate Spreads

On a national level, cap rates move based on changes to underlying interest rates and risk premia. Often as risk premia rise, interest rates fall and vice versa, creating relatively stable national cap rates. However, at the local level, there are local factors that can cause cap rates to outperform or underperform national averages. As such, the spread between a local cap rate and the U.S. cap rate, or the premium/discount of the local cap rate vs. the national cap rate can expand or contract at a greater or lesser pace than the national average.

Our approach to cap rate forecasting is to forecast the U.S. cap rate and the spreads between the local market and the U.S. average to determine where local cap rates are headed. Importantly, this approach identifies periods of relative cap rate expansion or contraction regardless of where underlying interest rates move.

As mentioned earlier, Anaheim hotel cap rates have been stable over the past few years. However, based on data from CoStar, the spread between the Anaheim cap rate and the U.S. cap rate has been on a general downward trend since 2005.

The primary factors driving Anaheim cap rate spreads vs. the national average include:

- MSA Real GMP (-89.1% correlation)
- S&P 500 Index (77.1% correlation)
- High Yield Bond Spreads (17.0% correlation)

Based on these variables and others, we have created a regression forecast model for Anaheim cap rate spreads that has a 99.4% R-Squared, indicating an extremely high prediction confidence level, within a standard error of 9 bps.

Anaheim Hotel Cap Rate Spread Regression Forecast Model



Source: Lodging Analytics Research & Consulting, CoStar

We believe this model offers a highly accurate forecast for Anaheim cap rate spreads. Moody's Analytics forecasts a 2.0% 3-year CAGR for Anaheim Real GMP and a 2.1% 5-year CAGR. Moody's Analytics forecasts a 3.3% 3-year CAGR for the S&P 500 and a 5.1% 5-year CAGR.

Change in Cap Rate Spread Sensitivity to Key Variables: 3-Year Outlook (in bps)

3-Year S&P 500 CAGR	3-Year Real GMP CAGR						
	-1.0%	0.0%	1.0%	2.0%	3.0%	4.0%	5.0%
0.3%	14	12	10	7	4	2	(1)
1.3%	12	10	8	5	2	(0)	(3)
2.3%	10	8	5	3	0	(2)	(5)
3.3%	8	6	3	**1**	(2)	(5)	(7)
4.3%	6	3	1	(2)	(4)	(7)	(10)
5.3%	4	1	(1)	(4)	(6)	(9)	(12)
6.3%	1	(1)	(4)	(6)	(9)	(12)	(14)

Source: Lodging Analytics Research & Consulting, Moody's Analytics

Change in Cap Rate Spread Sensitivity to Key Variables: 5-Year Outlook (in bps)

5-Year S&P 500 CAGR	5-Year Real GMP CAGR						
	-0.9%	0.1%	1.1%	2.1%	3.1%	4.1%	5.1%
2.1%	18	14	10	5	1	(4)	(9)
3.1%	14	10	6	1	(3)	(8)	(13)
4.1%	10	6	2	(3)	(7)	(12)	(17)
5.1%	6	2	(2)	**(7)**	(11)	(16)	(21)
6.1%	2	(2)	(7)	(11)	(16)	(20)	(26)
7.1%	(3)	(7)	(11)	(16)	(20)	(25)	(30)
8.1%	(8)	(12)	(16)	(20)	(25)	(30)	(35)

Source: Lodging Analytics Research & Consulting, Moody's Analytics

Leveraging the combination of our U.S. cap rate forecast and our forecast for Anaheim market cap rate spreads, we have created the following forecast for Anaheim cap rates. The following outlook illustrates our expectations that Anaheim cap rate spreads to the U.S. will decrease slightly from the levels experienced recently.

Overall, in 2030 we expect Anaheim cap rates to be almost 20 bps above 2025 levels, while U.S. cap rates will be roughly 30 bps above 2025 levels, indicating roughly 10 bps of relative cap rate compression.

Anaheim Cap Rate Forecast *(forecasts begin 2026)*

	U.S. Cap Rate	Anaheim Spread (bps)	Anaheim Cap Rate
2020	8.9%	(104)	7.9%
2021	9.1%	(160)	7.5%
2022	8.6%	(132)	7.3%
2023	8.5%	(110)	7.4%
2024	8.8%	(125)	7.6%
2025	9.1%	(143)	7.7%
2026 F	*9.3%*	*(152)*	*7.8%*
2027 F	*9.3%*	*(156)*	*7.7%*
2028 F	*9.3%*	*(142)*	*7.8%*
2029 F	*9.4%*	*(149)*	*7.9%*
2030 F	*9.4%*	*(151)*	*7.9%*

Source: Lodging Analytics Research & Consulting, CoStar

Investment Value Change

Our valuation forecast leverages a discounted cash flow approach, which incorporates our forward cash flow expectations and our forward outlook for cap rates. We believe values fell roughly 30% in 2020 but snapped almost all the way back in 2021. We estimate that values recovered to 2019 levels in 2023 but have declined slightly since. Beginning in 2026, Hotel EBITDA growth will drive values to continue to move higher.

Overall, we forecast property values to increase by a 1.6% CAGR from 2025 to 2028 and by a 1.6% CAGR through 2030, which translates to an 8% increase in hotel values over the next five years. Anaheim ranks as the 4th highest value change across LARC's 33 hotel markets over the next five years. It is worth noting that our value appreciation forecast also implies an 11% increase in value relative to 2019 levels in 2030.

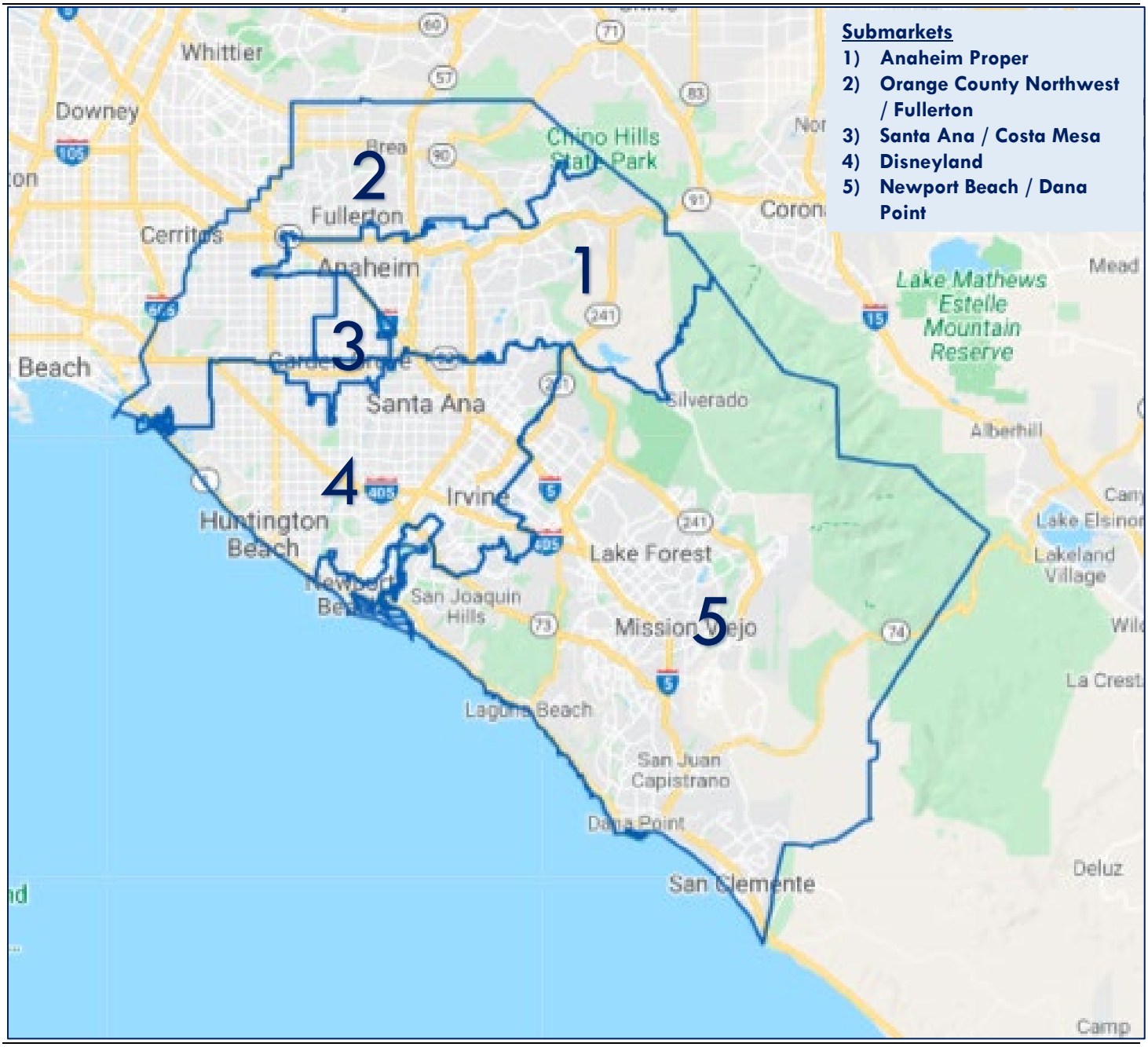
Property Value Change Forecast *(forecasts begin 2026)*

				Asset Value	
	EBITDA % Chg	Cap Rate	Cap Rate Chg (bps)	YoY Change	Change from 2025
2020	-85.4%	7.9%	16	-31%	-34%
2021	329.7%	7.5%	(37)	30%	-13%
2022	85.8%	7.3%	(20)	11%	-3%
2023	-1.6%	7.4%	14	6%	3%
2024	-11.2%	7.6%	17	-1%	2%
2025	-3.8%	7.7%	11	-2%	0%
2026 F	*13.0%*	*7.8%*	*5*	*2%*	*2%*
2027 F	*4.7%*	*7.7%*	*(2)*	*2%*	*4%*
2028 F	*2.9%*	*7.8%*	*10*	*1%*	*5%*
2029 F	*0.7%*	*7.9%*	*3*	*2%*	*7%*
2030 F	*0.7%*	*7.9%*	*4*	*2%*	*8%*

Source: Lodging Analytics Research & Consulting, CoStar

Historical Submarket Indices to Anaheim Market

Anaheim Submarket Map



Source: Lodging Analytics Research & Consulting, CoStar

1) Anaheim Proper Historical Performance Index

	Occupancy	ADR	RevPAR
2025	96.8%	60.5%	58.6%
2024	95.8%	61.7%	59.1%
2023	92.8%	63.0%	58.5%
2022	96.5%	63.3%	61.1%
2021	106.2%	59.9%	63.6%
2020	113.0%	64.2%	72.6%
2019	98.2%	65.6%	64.4%
2018	97.6%	65.5%	64.0%
2017	97.0%	66.5%	64.5%
2016	98.9%	66.4%	65.7%
2015	98.8%	66.8%	66.0%
2014	97.8%	65.3%	63.9%
2013	98.2%	64.5%	63.3%
2012	98.2%	64.2%	63.0%
2011	99.3%	64.4%	63.9%
2010	97.9%	64.1%	62.7%
2009	95.2%	64.7%	61.6%
2008	93.4%	64.4%	60.1%
2007	92.8%	65.4%	60.7%
2006	97.4%	66.1%	64.4%
2005	98.2%	68.1%	66.9%
2004	97.4%	66.4%	64.7%
2003	98.1%	67.5%	66.2%
2002	98.0%	69.7%	68.3%
2001	97.0%	71.8%	69.6%
2000	96.6%	74.8%	72.3%
Index Averages			
2005 - 2025	98.1%	64.5%	63.3%
2015 - 2025	99.2%	63.9%	63.5%
2020 - 2025	100.2%	62.1%	62.2%
Current Room Count		2,033,780	
Percentage of Market		9%	

Source: Lodging Analytics Research & Consulting, CoStar

2) Orange County NW Historical Performance Index

	Occupancy	ADR	RevPAR
2025	97.8%	60.8%	59.5%
2024	99.0%	62.4%	61.7%
2023	96.3%	63.4%	61.1%
2022	95.3%	63.3%	60.3%
2021	106.7%	61.8%	65.9%
2020	112.5%	64.8%	72.9%
2019	96.0%	63.0%	60.5%
2018	96.0%	63.4%	60.9%
2017	96.6%	64.1%	61.9%
2016	97.4%	64.0%	62.4%
2015	96.6%	62.9%	60.7%
2014	95.5%	61.7%	58.9%
2013	94.0%	62.2%	58.4%
2012	93.4%	62.7%	58.6%
2011	92.5%	63.8%	59.0%
2010	91.5%	65.6%	60.0%
2009	89.6%	66.9%	59.9%
2008	89.7%	66.0%	59.3%
2007	91.4%	66.6%	60.9%
2006	95.0%	69.3%	65.9%
2005	95.6%	71.0%	67.9%
2004	94.6%	70.1%	66.3%
2003	95.7%	71.0%	67.9%
2002	94.8%	69.6%	66.0%
2001	95.4%	69.6%	66.4%
2000	96.0%	70.9%	68.1%
Index Averages			
2005 - 2025	96.1%	64.3%	61.7%
2015 - 2025	99.1%	63.1%	62.5%
2020 - 2025	101.3%	62.7%	63.6%
Current Room Count		2,855,116	
Percentage of Market		13%	

Source: Lodging Analytics Research & Consulting, CoStar

3) Santa Ana Historical Performance Index

	Occupancy	ADR	RevPAR
2025	98.4%	80.3%	79.1%
2024	96.9%	80.8%	78.3%
2023	96.3%	80.9%	77.9%
2022	97.2%	82.4%	80.1%
2021	103.1%	81.1%	83.5%
2020	104.6%	86.5%	90.5%
2019	98.5%	85.0%	83.8%
2018	98.6%	87.0%	85.8%
2017	97.8%	88.0%	86.0%
2016	98.9%	87.5%	86.6%
2015	99.2%	86.8%	86.1%
2014	99.8%	86.6%	86.3%
2013	101.6%	86.0%	87.4%
2012	100.9%	87.1%	87.9%
2011	100.7%	89.9%	90.5%
2010	101.8%	90.9%	92.5%
2009	101.5%	89.6%	91.0%
2008	101.5%	91.6%	92.9%
2007	101.2%	93.5%	94.6%
2006	100.5%	94.6%	95.1%
2005	100.4%	94.2%	94.6%
2004	101.3%	92.4%	93.6%
2003	98.8%	90.4%	89.4%
2002	97.4%	89.5%	87.2%
2001	99.9%	90.0%	89.9%
2000	101.1%	96.9%	98.0%
Index Averages			
2005 - 2025	100.1%	87.7%	87.9%
2015 - 2025	99.1%	84.8%	84.1%
2020 - 2025	99.4%	82.4%	82.1%
Current Room Count		5,202,293	
Percentage of Market		24%	

Source: Lodging Analytics Research & Consulting, CoStar

4) Disneyland Historical Performance Index

	Occupancy	ADR	RevPAR
2025	104.9%	117.4%	123.1%
2024	105.9%	117.1%	124.1%
2023	107.6%	116.1%	124.9%
2022	106.8%	111.9%	119.6%
2021	91.7%	114.9%	105.3%
2020	79.0%	113.4%	89.6%
2019	105.8%	115.0%	121.7%
2018	106.5%	112.1%	119.3%
2017	105.9%	111.2%	117.7%
2016	104.0%	111.9%	116.4%
2015	104.0%	112.2%	116.7%
2014	103.8%	111.6%	115.9%
2013	104.4%	111.8%	116.8%
2012	104.8%	111.3%	116.7%
2011	103.8%	109.9%	114.1%
2010	104.8%	109.9%	115.1%
2009	107.9%	109.1%	117.8%
2008	106.6%	106.8%	113.8%
2007	105.5%	104.4%	110.1%
2006	103.4%	103.6%	107.1%
2005	104.6%	105.6%	110.4%
2004	101.7%	106.0%	107.9%
2003	101.6%	108.0%	109.7%
2002	103.0%	110.3%	113.6%
2001	103.4%	111.8%	115.7%
2000	98.9%	99.7%	98.5%
Index Averages			
2005 - 2025	103.3%	110.8%	114.3%
2015 - 2025	101.9%	113.4%	115.6%
2020 - 2025	99.3%	114.7%	112.7%
Current Room Count		7,785,602	
Percentage of Market		35%	

Source: Lodging Analytics Research & Consulting, CoStar

5) Newport Beach Historical Performance Index

	Occupancy	ADR	RevPAR
2025	96.0%	136.0%	130.5%
2024	95.6%	134.5%	128.7%
2023	96.4%	132.3%	127.5%
2022	95.6%	140.2%	134.0%
2021	102.1%	149.5%	152.6%
2020	106.3%	151.9%	161.4%
2019	95.5%	134.9%	128.7%
2018	94.6%	138.3%	130.9%
2017	96.2%	137.6%	132.3%
2016	96.6%	137.7%	133.0%
2015	97.3%	139.9%	136.2%
2014	98.3%	143.0%	140.7%
2013	96.0%	144.6%	138.7%
2012	96.6%	143.2%	138.3%
2011	98.7%	141.5%	139.6%
2010	97.2%	139.2%	135.2%
2009	95.2%	141.1%	134.3%
2008	98.6%	143.6%	141.6%
2007	100.0%	145.4%	145.4%
2006	99.1%	146.1%	144.8%
2005	96.0%	143.9%	138.2%
2004	101.4%	144.9%	147.0%
2003	104.0%	144.2%	149.9%
2002	104.4%	140.8%	146.9%
2001	100.3%	138.9%	139.4%
2000	106.6%	147.0%	156.7%
Index Averages			
2005 - 2025	97.8%	141.6%	138.5%
2015 - 2025	97.7%	140.0%	136.9%
2020 - 2025	98.7%	141.7%	140.8%
Current Room Count		4,219,235	
Percentage of Market		19%	

Source: Lodging Analytics Research & Consulting, CoStar

Historical Property Class Indices to Anaheim Market

Anaheim Luxury Historical Performance Index

	Occupancy	ADR	RevPAR
2025	91.6%	272.8%	249.8%
2024	92.2%	266.9%	245.9%
2023	92.9%	267.5%	248.5%
2022	91.9%	299.2%	274.9%
2021	92.4%	358.2%	330.9%
2020	98.1%	359.6%	352.9%
2019	95.2%	271.4%	258.3%
2018	97.5%	278.1%	271.1%
2017	96.2%	279.3%	268.7%
2016	91.7%	285.7%	261.9%
2015	93.4%	300.8%	280.9%
2014	97.8%	307.1%	300.5%
2013	96.9%	303.7%	294.3%
2012	93.8%	302.4%	283.6%
2011	92.0%	299.5%	275.4%
2010	82.8%	303.3%	251.3%
2009	82.1%	308.7%	253.3%
2008	93.1%	301.4%	280.8%
2007	98.2%	303.0%	297.5%
2006	96.5%	310.9%	299.9%
2005	88.5%	319.0%	282.3%
2004	94.6%	321.5%	304.3%
2003	97.7%	315.5%	308.4%
2002	105.3%	300.8%	316.6%
2001	101.0%	299.3%	302.2%
2000	113.1%	328.2%	371.3%
Index Averages			
2005 - 2025	93.1%	299.9%	279.2%
2015 - 2025	93.9%	294.5%	276.7%
2020 - 2025	93.2%	304.0%	283.8%
Current Room Count		1,105,245	
Percentage of Market		5%	

Source: Lodging Analytics Research & Consulting, CoStar

Anaheim Upscale Historical Performance Index

	Occupancy	ADR	RevPAR
2025	104.7%	89.8%	94.0%
2024	104.0%	89.2%	92.8%
2023	104.2%	88.4%	92.1%
2022	104.2%	89.4%	93.1%
2021	104.7%	86.3%	90.3%
2020	94.3%	95.2%	89.7%
2019	103.2%	95.5%	98.5%
2018	104.4%	95.7%	99.9%
2017	104.6%	97.9%	102.4%
2016	103.5%	97.7%	101.2%
2015	102.9%	97.8%	100.6%
2014	101.9%	96.5%	98.4%
2013	102.2%	95.8%	97.9%
2012	102.1%	97.1%	99.1%
2011	102.5%	97.7%	100.2%
2010	102.9%	97.7%	100.6%
2009	103.7%	97.0%	100.7%
2008	103.8%	98.1%	101.7%
2007	104.2%	97.4%	101.5%
2006	103.3%	97.1%	100.4%
2005	105.0%	95.9%	100.7%
2004	104.6%	94.3%	98.7%
2003	105.7%	96.3%	101.8%
2002	103.7%	98.3%	102.0%
2001	101.5%	104.5%	106.1%
2000	102.6%	103.7%	106.4%
Index Averages			
2005 - 2025	103.2%	94.9%	97.9%
2015 - 2025	103.1%	93.0%	95.9%
2020 - 2025	102.7%	89.7%	92.0%
Current Room Count		5,535,256	
Percentage of Market		25%	

Source: Lodging Analytics Research & Consulting, CoStar

Anaheim Upper Upscale Historical Performance Index

	Occupancy	ADR	RevPAR
2025	101.5%	130.6%	132.5%
2024	102.2%	130.7%	133.5%
2023	104.6%	129.9%	135.9%
2022	102.6%	127.5%	130.7%
2021	89.8%	135.8%	122.0%
2020	83.6%	138.0%	115.4%
2019	103.7%	126.9%	131.5%
2018	102.6%	125.3%	128.6%
2017	102.6%	124.1%	127.4%
2016	102.2%	126.9%	129.6%
2015	103.1%	128.6%	132.6%
2014	103.5%	129.4%	133.9%
2013	104.0%	130.0%	135.2%
2012	103.7%	131.5%	136.3%
2011	103.9%	131.8%	137.0%
2010	105.0%	132.6%	139.3%
2009	107.1%	131.4%	140.7%
2008	107.3%	132.7%	142.4%
2007	105.6%	133.2%	140.7%
2006	103.7%	132.8%	137.7%
2005	104.1%	134.4%	139.8%
2004	105.1%	135.0%	141.9%
2003	105.6%	134.1%	141.7%
2002	108.0%	135.3%	146.1%
2001	105.7%	139.2%	147.0%
2000	103.8%	138.8%	144.1%
Index Averages			
2005 - 2025	102.2%	130.7%	133.5%
2015 - 2025	99.9%	129.5%	129.1%
2020 - 2025	97.4%	132.1%	128.3%
Current Room Count		7,036,799	
Percentage of Market		32%	

Source: Lodging Analytics Research & Consulting, CoStar

Anaheim Upper Midscale Historical Performance Index

	Occupancy	ADR	RevPAR
2025	99.1%	75.1%	74.5%
2024	100.6%	75.9%	76.4%
2023	100.9%	76.2%	76.9%
2022	102.9%	76.1%	78.3%
2021	100.2%	75.3%	75.4%
2020	87.2%	81.3%	70.9%
2019	99.4%	79.7%	79.2%
2018	101.0%	79.8%	80.6%
2017	100.6%	80.1%	80.6%
2016	101.5%	80.2%	81.5%
2015	100.9%	80.2%	80.9%
2014	100.1%	79.9%	80.0%
2013	97.6%	79.9%	77.9%
2012	98.2%	79.3%	77.9%
2011	97.2%	80.3%	78.1%
2010	97.5%	81.1%	79.0%
2009	98.3%	80.8%	79.4%
2008	97.4%	79.5%	77.4%
2007	97.5%	79.6%	77.6%
2006	100.0%	79.3%	79.3%
2005	101.0%	79.6%	80.4%
2004	96.2%	77.9%	74.9%
2003	95.9%	78.8%	75.6%
2002	94.0%	80.4%	75.6%
2001	98.7%	80.9%	79.9%
2000	99.3%	82.2%	81.7%
Index Averages			
2005 - 2025	99.0%	79.0%	78.2%
2015 - 2025	99.5%	78.2%	77.7%
2020 - 2025	98.5%	76.6%	75.4%
Current Room Count		3,243,211	
Percentage of Market		15%	

Source: Lodging Analytics Research & Consulting, CoStar

Anaheim Midscale Historical Performance Index

	Occupancy	ADR	RevPAR
2025	102.5%	53.4%	54.8%
2024	98.6%	54.2%	53.5%
2023	96.5%	54.2%	52.3%
2022	100.6%	54.6%	54.9%
2021	115.2%	54.2%	62.4%
2020	129.5%	59.5%	77.1%
2019	99.6%	57.2%	56.9%
2018	100.1%	59.1%	59.1%
2017	99.8%	60.4%	60.3%
2016	101.9%	61.5%	62.7%
2015	102.9%	61.4%	63.2%
2014	103.3%	61.0%	63.1%
2013	103.4%	60.6%	62.7%
2012	102.9%	59.7%	61.4%
2011	104.9%	58.3%	61.1%
2010	106.3%	57.7%	61.3%
2009	103.3%	58.4%	60.3%
2008	98.1%	61.0%	59.8%
2007	96.7%	61.8%	59.7%
2006	97.2%	63.5%	61.7%
2005	100.8%	63.4%	63.9%
2004	102.5%	61.7%	63.3%
2003	102.5%	61.9%	63.5%
2002	102.6%	64.6%	66.3%
2001	102.2%	66.0%	67.4%
2000	104.5%	67.8%	70.9%
Index Averages			
2005 - 2025	103.1%	58.8%	60.6%
2015 - 2025	104.3%	57.2%	59.7%
2020 - 2025	107.2%	55.0%	59.2%
Current Room Count		1,495,944	
Percentage of Market		7%	

Source: Lodging Analytics Research & Consulting, CoStar

Anaheim Economy Historical Performance Index

	Occupancy	ADR	RevPAR
2025	92.4%	46.3%	42.8%
2024	92.3%	48.8%	45.0%
2023	88.2%	50.9%	44.9%
2022	89.1%	51.9%	46.2%
2021	105.2%	51.7%	54.4%
2020	124.0%	53.8%	66.7%
2019	92.1%	51.3%	47.2%
2018	90.5%	51.5%	46.6%
2017	91.4%	52.2%	47.7%
2016	93.3%	52.8%	49.3%
2015	92.7%	51.5%	47.7%
2014	92.8%	49.8%	46.2%
2013	93.6%	50.2%	47.0%
2012	94.5%	49.8%	47.1%
2011	94.2%	50.1%	47.2%
2010	93.3%	51.4%	48.0%
2009	91.0%	52.3%	47.6%
2008	91.5%	51.1%	46.8%
2007	93.1%	52.3%	48.7%
2006	94.8%	55.0%	52.2%
2005	92.8%	55.8%	51.7%
2004	93.0%	54.3%	50.4%
2003	91.8%	54.7%	50.2%
2002	91.2%	56.0%	51.1%
2001	93.6%	55.7%	52.1%
2000	93.3%	56.9%	53.1%
Index Averages			
2005 - 2025	94.4%	51.5%	48.6%
2015 - 2025	95.6%	51.2%	49.0%
2020 - 2025	98.6%	50.6%	50.0%
Current Room Count		3,679,571	
Percentage of Market		17%	

Source: Lodging Analytics Research & Consulting, CoStar

Forecast Revision Summary

Forecast Variance vs. Last Quarter

Current Outlook

	Supply Growth	Demand Growth	Occ	ADR	RevPAR	EBITDA Margin*	EBITDA % Chg	Cap Rate**	Value Change (from 2019)
2026-1Q	-0.8%	4.3%	72.8%	$213.95	$155.72	23.7%	13.0%		
2026-2Q F	-0.7%	2.5%	74.6%	$216.38	$161.40	24.0%	18.6%		
2026-3Q F	-0.6%	1.2%	76.6%	$234.83	$179.82	29.5%	13.9%		
2026-4Q F	-0.5%	0.4%	72.7%	$224.32	$163.13	25.4%	7.3%		
2026 F	**-0.6%**	**2.0%**	**74.2%**	**$222.55**	**$165.07**	**25.8%**	**13.0%**	**7.8%**	**4.0%**
2027-1Q F	-0.2%	-1.2%	72.0%	$224.09	$161.42	23.3%	1.8%		
2027-2Q F	0.2%	-2.9%	72.3%	$227.30	$164.38	23.9%	1.6%		
2027-3Q F	0.3%	1.8%	77.7%	$246.67	$191.78	29.7%	7.4%		
2027-4Q F	0.3%	1.0%	73.2%	$235.22	$172.29	25.6%	6.4%		
2027 F	**0.1%**	**-0.3%**	**73.9%**	**$233.66**	**$172.56**	**25.8%**	**4.7%**	**7.7%**	**6.1%**
2028-1Q F	0.4%	-0.3%	71.6%	$234.48	$167.80	23.3%	4.2%		
2028-2Q F	0.4%	-0.7%	71.5%	$237.26	$169.74	23.8%	3.0%		
2028-3Q F	0.5%	-0.6%	77.0%	$256.96	$197.75	29.5%	2.6%		
2028-4Q F	0.6%	0.0%	72.7%	$244.71	$178.00	25.4%	2.3%		
2028 F	**0.5%**	**-0.4%**	**73.2%**	**$243.69**	**$178.42**	**25.7%**	**2.9%**	**7.8%**	**7.6%**
2029-1Q F	0.7%	-0.1%	71.0%	$243.68	$172.95	23.0%	1.3%		
2029-2Q F	0.7%	0.0%	71.0%	$246.34	$174.93	23.3%	0.8%		
2029-3Q F	0.7%	0.1%	76.5%	$266.54	$203.82	28.9%	0.9%		
2029-4Q F	0.7%	0.2%	72.3%	$253.63	$183.47	24.6%	-0.1%		
2029 F	**0.7%**	**0.1%**	**72.7%**	**$252.89**	**$183.89**	**25.1%**	**0.7%**	**7.9%**	**9.2%**
2030-1Q F	0.7%	0.2%	70.6%	$252.44	$178.29	22.4%	0.8%		
2030-2Q F	0.7%	0.3%	70.7%	$255.11	$180.32	22.7%	0.6%		
2030-3Q F	0.7%	0.3%	76.1%	$275.96	$210.05	28.3%	1.0%		
2030-4Q F	0.7%	0.3%	72.0%	$262.58	$189.06	24.0%	0.3%		
2030 F	**0.7%**	**0.3%**	**72.4%**	**$261.88**	**$189.53**	**24.5%**	**0.7%**	**7.9%**	**11.1%**

Change

	Supply Growth (bps)	Demand Growth (bps)	Occ (%)	ADR (%)	RevPAR (%)	EBITDA Margin (bps)*	EBITDA % Chg (bps)	Cap Rate (bps)	Value Change (from 2019, bps)
2026-1Q	(27)	290	3.1%	2.0%	5.2%	61	680		
2026-2Q F	(44)	271	3.2%	3.0%	6.3%	130	1,437		
2026-3Q F	(45)	(100)	-0.6%	2.5%	1.9%	68	462		
2026-4Q F	(45)	123	1.6%	1.0%	2.7%	(22)	203		
2026 F	**(40)**	**141**	**1.8%**	**2.1%**	**3.9%**	**57**	**654**	**24**	**84**
2027-1Q F	(16)	115	4.5%	1.5%	6.1%	(94)	(610)		
2027-2Q F	0	(197)	1.1%	4.6%	5.8%	131	(43)		
2027-3Q F	0	170	1.1%	5.1%	6.3%	159	768		
2027-4Q F	0	30	1.9%	4.2%	6.2%	110	881		
2027 F	**(4)**	**29**	**2.1%**	**3.9%**	**6.1%**	**83**	**324**	**11**	**130**
2028-1Q F	(1)	6	4.6%	3.1%	7.9%	1	578		
2028-2Q F	(2)	11	1.2%	5.4%	6.7%	160	222		
2028-3Q F	(3)	23	1.4%	5.3%	6.8%	147	6		
2028-4Q F	(5)	35	2.3%	4.1%	6.5%	75	(115)		
2028 F	**(3)**	**19**	**2.3%**	**4.5%**	**7.0%**	**99**	**150**	**5**	**108**
2029-1Q F	(5)	(7)	4.6%	2.9%	7.6%	(88)	(424)		
2029-2Q F	(5)	(19)	1.1%	5.0%	6.2%	63	(485)		
2029-3Q F	(5)	(24)	1.2%	4.9%	6.2%	52	(401)		
2029-4Q F	(5)	(24)	2.2%	3.6%	5.9%	(31)	(500)		
2029 F	**(5)**	**(19)**	**2.2%**	**4.1%**	**6.4%**	**2**	**(450)**	**3**	**57**
2030-1Q F	(5)	(23)	4.4%	2.3%	6.8%	(163)	(401)		
2030-2Q F	(5)	(22)	0.9%	4.5%	5.4%	(16)	(426)		
2030-3Q F	(5)	(21)	1.0%	4.3%	5.4%	(25)	(353)		
2030-4Q F	(5)	(23)	2.0%	3.0%	5.0%	(116)	(439)		
2030 F	**(5)**	**(22)**	**2.0%**	**3.5%**	**5.6%**	**(77)**	**(401)**	**1**	**29**

Prior Outlook

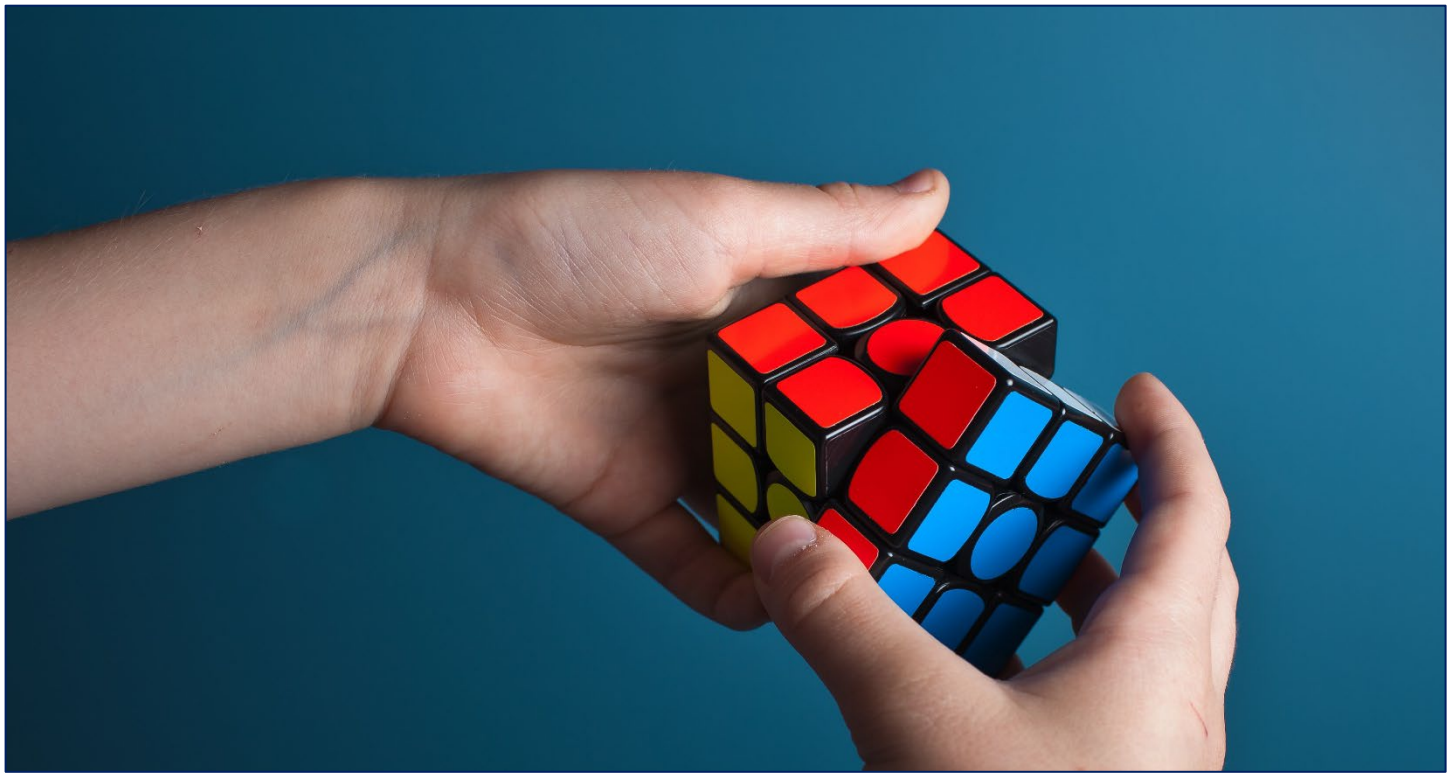
	Supply Growth	Demand Growth	Occ	ADR	RevPAR	EBITDA Margin*	EBITDA % Chg	Cap Rate**	Value Change (from 2019)
2026-1Q F	-0.5%	1.3%	70.6%	$209.67	$147.96	23.1%	6.2%		
2026-2Q F	-0.3%	-0.3%	72.3%	$210.00	$151.83	22.7%	4.3%		
2026-3Q F	-0.1%	2.2%	77.0%	$229.18	$176.48	28.8%	9.3%		
2026-4Q F	0.0%	-0.8%	71.5%	$221.98	$158.83	25.7%	5.3%		
2026 F	**-0.2%**	**0.6%**	**72.9%**	**$217.99**	**$158.86**	**25.2%**	**6.5%**	**7.5%**	**3.2%**
2027-1Q F	0.0%	-2.3%	68.9%	$220.86	$152.20	24.2%	7.9%		
2027-2Q F	0.2%	-0.9%	71.5%	$217.26	$155.39	22.6%	2.0%		
2027-3Q F	0.3%	0.1%	76.9%	$234.62	$180.40	28.1%	-0.3%		
2027-4Q F	0.3%	0.7%	71.8%	$225.70	$162.16	24.5%	-2.4%		
2027 F	**0.2%**	**-0.6%**	**72.3%**	**$224.88**	**$162.62**	**25.0%**	**1.4%**	**7.6%**	**4.8%**
2028-1Q F	0.4%	-0.3%	68.4%	$227.34	$155.55	23.3%	-1.6%		
2028-2Q F	0.4%	-0.8%	70.7%	$225.11	$159.07	22.2%	0.8%		
2028-3Q F	0.5%	-0.8%	75.9%	$243.95	$185.18	28.0%	2.5%		
2028-4Q F	0.7%	-0.4%	71.1%	$235.06	$167.07	24.6%	3.5%		
2028 F	**0.5%**	**-0.6%**	**71.5%**	**$233.18**	**$166.81**	**24.7%**	**1.4%**	**7.8%**	**6.5%**
2029-1Q F	0.8%	0.0%	67.9%	$236.92	$160.80	23.8%	5.6%		
2029-2Q F	0.8%	0.2%	70.2%	$234.55	$164.74	22.7%	5.6%		
2029-3Q F	0.8%	0.3%	75.6%	$254.08	$192.00	28.4%	4.9%		
2029-4Q F	0.8%	0.4%	70.8%	$244.76	$173.32	24.9%	4.9%		
2029 F	**0.8%**	**0.2%**	**71.1%**	**$242.91**	**$172.82**	**25.1%**	**5.2%**	**7.8%**	**8.7%**
2030-1Q F	0.8%	0.5%	67.7%	$246.67	$166.89	24.1%	4.8%		
2030-2Q F	0.8%	0.5%	70.0%	$244.22	$171.03	22.9%	4.9%		
2030-3Q F	0.8%	0.5%	75.3%	$264.61	$199.35	28.6%	4.5%		
2030-4Q F	0.8%	0.5%	70.6%	$254.97	$180.03	25.1%	4.7%		
2030 F	**0.8%**	**0.5%**	**70.9%**	**$252.96**	**$179.43**	**25.3%**	**4.7%**	**7.9%**	**10.8%**

Source: Lodging Analytics Research & Consulting, STR, CoStar

***Quarterly EBITDA Margins estimated based on quarterly revenue allocation and annual EBITDA margins**

LODGING ANALYTICS RESEARCH & CONSULTING

MARKET INTELLIGENCE REPORT



APPENDIX

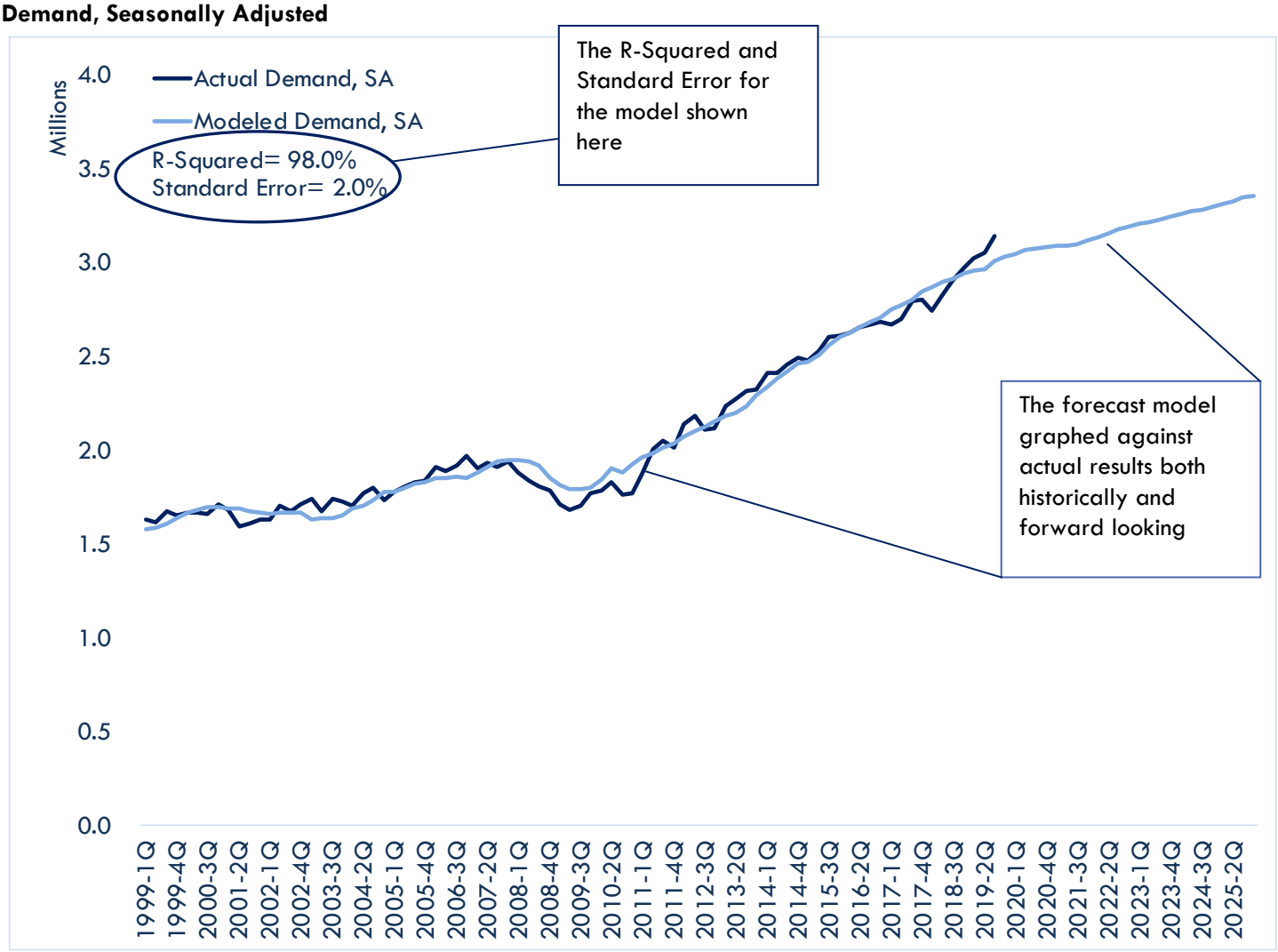
Interpreting Our Forecasts

We use regression-based forecasting to drive our industry and market outlooks. Using this methodology, we look beyond correlation relationships between variables to causal relationships. We analyze dozens of macro and industry-specific data sets to determine relationships with the lodging indicators we are forecasting. Not only do we analyze these variables on a contemporaneous basis, but also on various lead times.

Reading Our Models

Each of our regression forecast models is graphed and shown just as below. R-Squared is a statistical measure to define the causal relationship between a regression forecast model and the actual results historically. The highest R-Squared possible is 100%, indicating that the model has forecasted the actual results historically perfectly. We generally view any R-Squared above 80% as highly accurate, indicating that the model forecasts 80% of the variations of the forecast variable. However, there are other factors that come into play, including the standard error, the T Test, and the P Values. The standard error is a metric used to understand how inaccurate a model can be. The forecast will be within the standard error of the actual result 95.0% of the time. In other words, if a model has a 5.0% standard error, the forecast output is within 5.0% of the actual results 95.0% of the time. The smaller the standard error, the better. The standard error will also help the reader understand the prediction intervals of the forecast.

Demand, Seasonally Adjusted



Source: Lodging Analytics Research & Consulting, STR

In addition to showing a chart plotting the model's forecasted projections with actuals, historically and forward looking, we always share both our R-Squared and the standard error for the model so that the reader knows how accurate our models are. We believe transparency in the accuracy of our models is important and should give the reader confidence that our forecasts are extremely accurate. See above as an example. Additionally, our models comply with statistical modelling proficiency standards as it relates to other tests that can be conducted, including T Tests and P Values.

In the same effort to be transparent, we share the key drivers of each forecast model, their correlations with the output variable (the metric we are forecasting) and provide sensitivity tables. In some cases, those drivers are leading indicators to our lodging forecasts, and in other cases they are contemporaneous indicators. Some examples of these drivers are:

- Gross Metropolitan Product – a measure of economic growth in the market
- Office Employment – represents industries most likely to drive lodging demand, both to the market and from it
- CPI – an inflationary metric that impacts pricing
- Retail Sales – a measure of discretionary spend in the market
- Private Non-Farm Employment – overall jobs growth in the market is a key economic metric
- Credit Risk Spreads – a measure of risk aversion or engagement across the country
- Household Income – a measure of economic growth in the market
- Bond Yields – another measure of risk aversion across the country
- Population – positive net migration can cause a need for more accommodations
- Exchange Rates – can impact the affordability of U.S. destinations vs. other global destinations
- Foreign Direct Investment into the U.S. – a component representing the flow of investment funds into the U.S.

Industry related forecasts that are drivers in some of our models are as follows and are sometimes applied contemporaneously and sometimes as a leading indicator:

- Occupancy – can often impact pricing power
- ADR – more than anything, pricing strength begets pricing strength across the industry, as the human element of the industry comes into play. A hotel able to grow rate aggressively in one quarter is unlikely to grow conservatively in the next. Pricing strength also impacts profitability, which can impact cap rates in a market.
- RevPAR – similar to ADR, a hotel able to grow RevPAR aggressively in one quarter is unlikely to grow conservatively the next. RevPAR strength also impacts profitability which can impact cap rates in a market.
- Lodging Supply – supply often has a meaningful impact on a local market's ability to drive occupancy, ADR and RevPAR higher.
- Group demand tied to citywide pacing data – for group-centric markets, Citywide demand can be the primary driver for swings in operating fundamentals.
- Home sharing supply and revenue – recently the impact of home sharing is becoming significant in certain leisure sensitive markets, particularly in the ability to drive pricing.

While the models are tested for accuracy backward looking, the industry forecasts are driven by economic forecasts for the model drivers going forward. As a result, all industry forecasts will only be as accurate as the forecasts for the model drivers. Our economic and demographic forecasts come from Moody's Analytics, while industry-related forecasts come from LARC. The sensitivity tables provided help the reader understand what the forecast would look like under different forecast assumptions for key economic variables.

Demand Growth Sensitivity to Key Variables- 3-Year Outlook

	3-Year Retail Sales CAGR						
3-Year Office Emp CAGR	1.2%	2.2%	3.2%	4.2%	5.2%	6.2%	7.2%
-1.9%	-2.1%	-1.8%	-1.4%	-1.1%	-0.7%	-0.3%	0.0%
-0.9%	-1.2%	-0.9%	-0.5%	-0.2%	0.2%	0.6%	0.9%
0.1%	-0.2%	0.1%	0.4%	0.8%	1.1%	1.5%	1.9%
1.1%	0.7%	1.1%	1.4%	**1.7%**	2.1%	2.4%	2.8%
2.1%	1.7%	2.0%	2.3%	2.7%	3.0%	3.4%	3.7%
3.1%	2.7%	3.0%	3.3%	3.6%	4.0%	4.3%	4.7%
4.1%	3.7%	4.0%	4.3%	4.6%	4.9%	5.3%	5.6%

Source: Lodging Analytics Research & Consulting

Using the above table as an example, you can see based on the center box in the table, we assume a 4.2% 3-year retail sales CAGR going forward in our model and a 1.1% 3-year office employment CAGR. If you disagree with our assumptions, the sensitivity table shows the demand growth forecast, assuming a wider range of assumptions. For example, at a 1.2% 3-year retail sales CAGR and a

(1.9)% office employment CAGR, our demand forecast CAGR changes from 1.7% to (2.1)%. We provide these sensitivity tables on three-year and five-year CAGRs for the key model drivers of all our regression forecasts in case you have a more bullish or bearish view than Moody's Analytics.

Understanding our Expense Forecasts

Our baseline expense growth model assumes 50% of labor costs are set at the current labor expense ratio to revenues. The other 50% of labor costs flex with occupancy, so as occupancy declines, labor costs will decline for both calculations, but costs for the calculations tied to occupancy rather than revenues will decline faster. The same is the case for periods when occupancy increases. These changes are also adjusted by our wage growth forecast. Property taxes are forecasted based on understanding of current municipal budgets, property tax calculations and forecasts for property values. Similar to labor, we also flex other costs based on occupancy and increase them based on current forecasts for MSA CPI-U.

Glossary

Term	Definition
ADR	Average Daily Rate- room revenue divided by paid rooms occupied
CAGR	Compound annual growth rate- annual growth rate over a period of time longer than one year, compounded annually
Cap Rate	A common valuation metric in the commercial real estate industry calculated as net property income divided by property value
Correlation	A statistic that measures the degree to which two variables move in relation to each other
Economic Lodging Supply	The effective room supply assuming no temporary hotel closures due to Covid-19
EBITDA Margin	A profitability metric calculated as Hotel EBITDA divided by Hotel Revenues
FF&E Reserve	Reserve account for furniture fixtures and equipment replacement and repair
GMP	Gross Metropolitan Product is a monetary measure of the value of all final goods and services produced within a metropolitan statistical area during a specified period
Hotel EBITDA	Hotel Earnings Before Interest, Taxes, Depreciation and Amortization- A key profit metric for the lodging industry that is calculated as hotel revenues less hotel expenses, excluding the FF&E reserve
Hotel-Comparable Home Sharing	Entire units listed on-line for short-term rental that are no larger than a 1 bedroom apartment
In Construction	A property that is under construction but yet to open
In Planning	A property that has yet to begin the construction process but has begin the process of getting local municipal approvals needed to begin construction
MSA	Metropolitan Statsistical Area- An urban market, inclusive of regional locations, which are tied to the urban center economiccally, but not necessarily administratively
Occupancy	Paid rooms occupied in a given period divided by available rooms in the same period
RevPAR	Revenue per Available Room- rooms revenue divided by available rooms
R-squared	A statistical measure that represents the proportion of the variance for a dependent variable that's explained by independent variables in a regression model
Standard Error	A measure of the statistical accuracy of an estimate, equal to the standard deviation of the theoretical distribution of a large population of such estimates
Supply	Average daily room nights available per quarter, represented as a change over the previous year, same quarter, except annually

Source: Lodging Analytics Research & Consulting

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